Migrant Networks and Climate Change

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Abstract

Migration is a potentially important form of climate adaptation if people choose to relocate to less exposed places. However, using global data on migration and climate, we find that new emigrants follow existing diasporas and that diasporas are concentrated in places with similar climates to the origin country. To assess the implications of these patterns for future adaptation, we build a dynamic spatial model with endogenous migrant networks and spatially correlated climate risk. Networks exacerbate climate losses when they are concentrated in locations whose expected damages and climate shocks positively covary with the origin's. Quantitatively, networks increase the welfare cost of climate change for two-thirds of the world. In poor, climate-exposed countries, they raise consumption-equivalent welfare losses by 2 percentage points, roughly the cost of an additional degree of warming by 2100. Targeted migration policies improve adaptation by building networks in less exposed destinations, and earlier policies generate larger gains.

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1. Introduction

The impacts of climate change are unevenly distributed across the globe: high-latitude economies may benefit from warming, while low-latitude countries face potentially catastrophic losses. International migration has the potential to be a key endogenous adaptation margin by enabling large-scale reallocation toward less climate-exposed locations. Migrant networks may, however, shape where people move. These networks consist of diaspora communities from an origin spread across destinations. A large literature focused on specific migration episodes or narrower geographic settings establishes that a larger diaspora in a destination attracts subsequent migrants from the same origin. In the context of climate change, a large diaspora in a climate-safe destination could facilitate adaptation by lowering migration costs to that destination. However, dependence on the existing migrant network may lead people affected by adverse climate events in their origin country to move to climate-exposed destinations where their diaspora is already large rather than to climate-safe destinations with no established community. Whether migrant networks facilitate or limit migration away from places exposed to climate change therefore depends on where these diaspora communities are located and the climate damages those destinations face.

In this paper, we study how migrant networks shape the geography of climate-induced migration and assess whether they help or hinder adaptation to climate change. We first combine global migration and temperature data to measure how strongly existing diasporas steer the destination choices of new migrants and whether those diasporas are located in places with similar climate exposure to the origin. We also examine how the climate exposure of migrant networks has changed as the world has warmed. We then develop a dynamic spatial model in which larger diasporas attract new migrants and migrant networks evolve endogenously as people move. Climate change is modeled as a warming trend with persistent, spatially correlated climate shocks. We quantify the model to assess the value of migrant networks for future climate adaptation, decompose the channels through which networks interact with climate losses, and study the role of network dynamics for migration policies.

We find that migrant networks shape both migration flows and climate exposure. Destinations with larger existing diasporas receive larger subsequent migration flows, and these diasporas are located in places with similar climates to their origins, although migrant networks have shown some adaptation with warming over our sample period. As climate change worsens over the century, these networks will increase the welfare cost for two-thirds of the world. For countries that lose from climate change, networks add 1.7% in consumption-equivalent welfare losses, roughly equivalent to an additional 1°C of warming. The key determinant is where existing migrant networks are located relative to future climate damages. Finally, migration policy can have persistent effects on climate adaptation through the networks it builds or depletes. Temporary restrictions on migration to the United States and European Union increase climate losses even after those restrictions are lifted, while targeted climate visas can build networks in destinations relatively spared by climate change and facilitate future migration. Because these networks take time to build, delaying such policies

reduces their benefits.

We begin by establishing three empirical facts about global migration and exposure to climate change. First, we show that new emigrants follow the existing network. Using United Nations data on global migrant stocks and estimates of migration flows from Abel and Cohen (2019) from 1990 to 2020, we show that a larger diaspora attracts more migrants from the same origin. This pattern holds globally and is robust to controlling for origin and destination fixed effects that absorb all push and pull factors, as well as origin–destination fixed effects that account for time-invariant bilateral determinants of migration. To address concerns about time-varying confounders, we implement an instrumental-variables strategy following Burchardi et al. (2019). The instrument predicts changes in an origin–destination diaspora using the interaction of an origin-specific emigration wave with a destination-specific immigration boom. We construct both components using geographic leave-outs so that the bilateral flow between the origin and destination does not mechanically enter the instrument. The IV estimates show that a 10 percent larger diaspora increases subsequent migration by 7 percent.

Second, given the strong network effect we observe globally we try to understand whether migrant networks facilitate climate adaptation by helping individuals from climate-exposed origin countries move toward safer destinations. We measure climate exposure using temperature data from Berkeley Earth. For each origin country, we compute the climate exposure of its diaspora network as the migrant-weighted average temperature across destination countries. We find that origins and their networks face similar climates. Origin countries exposed to high temperatures have diasporas concentrated in destinations that are similarly exposed, leaving little scope for migration through existing networks to reduce climate exposure.

Third, migrant networks show some adaptation with the warming observed over recent decades. We decompose changes in diaspora-network exposure for each country into network reallocation, holding destination temperature fixed, and changes due to warming at existing destinations, holding the network fixed. We find that warming at destinations increased diaspora exposure, while network reallocation offset about 40% of this increase. This suggests that migrant networks may adjust as climate conditions change, but the data cannot tell us whether that adjustment is enough to limit the welfare losses from future warming.

To quantify the welfare effects of future warming, we develop a dynamic model of migration in which existing diasporas shape destination choices and climate damages vary across locations. Households choose their location each period based on local wages, the size of the diaspora from their home country, and a destination-specific cost of residing away from home. The strength of the diaspora in utility is governed by the network preference, while idiosyncratic tastes for destinations determine how responsive migration is to differences in wages, networks, and costs. Residence costs capture barriers to living away from the origin, and we allow them to fall as origin-country income rises. Climate change affects local productivity through deterministic warming trends and persistent, spatially correlated shocks, generating changes in migration incentives over time. Because current migration changes the size and geographic distribution of diaspora communities,

migrant networks evolve endogenously and shape future migration decisions. The model delivers the positive relationship between migrant stocks and subsequent flows that we document in the data. When utility is increasing in the local diaspora, a larger migrant stock makes a destination more attractive both to migrants already there and to new migrants from the same origin.

The network elasticity summarizes how strongly past migration shapes current destination choices. It measures how strongly a destination's attractiveness rises with its migrant stock relative to the dispersion of idiosyncratic location tastes. When the elasticity is greater than one, the feedback is strong enough to generate multiple steady states. Temporary changes in migration incentives such as policy or productivity shocks can permanently alter the geography of migrant networks. When the elasticity is below one, the long-run migrant network is unique given the path of climate. However, network feedback still shapes migration dynamics through persistence and amplification. Persistence comes from the effect of past migration on current destination choices. A temporary shock that sends migrants to a destination increases the diaspora there, which continues to attract migrants after the original shock has disappeared. The effect of the initial shock therefore decays gradually, at a rate governed by the network elasticity. Networks also amplify the migration response to changes in fundamentals. An increase in a destination's productivity raises migration to that destination and, in turn, expands its diaspora. The larger diaspora then raises subsequent migration further, so the overall response exceeds the response to productivity alone. For a permanent change in fundamentals, a higher network elasticity implies greater long-run amplification of migration.

We next quantify the model to measure how migrant networks affect adaptation to future climate change. The quantification requires three inputs: economic growth absent climate change, the evolution of expected climate damages and climate risk across countries, and the strength of the network in migration decisions. For economic growth absent climate change, we use country-level projections from the Shared Socioeconomic Pathways. For climate, we separately parameterize the warming trend and climate risk. We map projected warming into country-level productivity losses using the temperature response function of Nath et al. (2024). We estimate climate risk from the spatial covariance of weather shocks across one hundred runs of a single climate model under a common emissions scenario. Because all runs use the same climate model and emissions scenario, differences across runs capture variation in weather realizations rather than differences across climate models. As temperatures rise, the same weather fluctuations can generate larger productivity effects, allowing the volatility of climate damages to change over time.

The remaining inputs govern how migration responds to wages, migrant networks, and residence costs. We estimate the taste dispersion, the network elasticity, and the elasticity of residence costs to origin income by simulated method of moments. For each candidate set of parameters, we use the model's migration equation to recover a residence cost for each origin–destination pair, simulate migration forward from the observed 1995 network using observed wages, and compute the same moments in the simulated panel as in the data. The response of migration to destination wages disciplines the taste dispersion, the growth in the share

of poor origins' population living abroad disciplines how residence costs fall with origin income, and the change in the network within a corridor over time disciplines the network elasticity. The estimated network elasticity is below one, implying a unique long-run network, but sufficiently close to one that network-driven persistence and amplification are quantitatively important.

We use the quantified model to ask how migrant networks change the welfare costs of climate change. We ask how large climate losses would be if migrants faced the same productivities, residence costs, and climate conditions, but did not choose destinations based on existing diasporas. This comparison decomposes the welfare cost of climate change into the loss that would arise without network-driven migration and the additional loss or gain attributable to migrant networks. To implement this comparison, we solve four versions of the model: with and without climate change, and with and without the effect of existing diasporas on destination choice. We first measure the welfare cost of climate change when existing diasporas shape migration decisions by comparing welfare with climate change to welfare without climate change. We then repeat the same calculation after removing the effect of existing diasporas on destination choice. The difference between these two climate losses measures how much migrant networks amplify or mitigate the welfare cost of climate change.

We find that network-driven migration raises the welfare cost of climate change for two-thirds of the world. The largest increases are in Sub-Saharan Africa, the Middle East, and South and Southeast Asia, where projected climate damages are high. For origins in the hottest quartile, migrant networks add 2% of permanent consumption to the welfare cost of climate change. By contrast, for origins in the coldest quartile, networks reduce climate losses by 0.35% of consumption on average. The effects also vary with the income level of the origin country. For countries below median GDP per capita, migrant networks add 1.7% of consumption to climate losses, roughly equivalent to the welfare cost of an additional degree of warming in these countries.

The network raises the welfare cost of climate change through two channels. First, it anchors households to the origin and to destinations where their diaspora is already large, changing their exposure to the expected warming trend. Second, it changes how well households can diversify climate risk across destinations, and therefore how much insurance migration provides against climate shocks. We derive both channels from a second-order expansion of expected lifetime utility around the expected climate path. For anchoring, the key moment is the covariance between diaspora shares and damages from the warming trend. Networks raise climate losses when migrants are concentrated in destinations that also experience large damages from warming. For diversification, the relevant moment is whether the network is concentrated in pairs of destinations whose climate shocks are positively correlated. When climate shocks across network destinations move together, alternative destinations provide less protection in a bad climate realization, reducing the option value of migration. Quantitatively, anchoring accounts for nearly all of the network effect on expected welfare. Although diversification has a small effect on expected losses, it matters in the tails of the distribution of climate realizations. In the worst 5% of climate draws, the consumption-equivalent loss from climate shocks is twice as large with the network as

without it.

Finally, we show that migration policies can shape climate adaptation by changing the geography of migrant networks. We illustrate this with two counterfactuals. The first temporarily closes the borders of the United States and the European Union to the rest of the world from 2020 to 2060. The restrictions end before the worst decades of climate change, but their effects persist. By reducing migration during the closure, the policy depletes the networks that would otherwise facilitate future migration to these destinations. As a result, 41 percent of the additional climate losses caused by the restrictions occur after the borders have reopened. The second counterfactual considers climate visas that allow migrants from poor countries facing large climate damages to move to destinations that are spared by climate change. The visa program provides a small number of admissions, which establish diaspora communities in the receiving countries. These networks then attract additional migrants through other migration channels. As those migrants arrive, they further expand the diaspora and increase subsequent migration to the same destinations. Because this process takes time, delaying the policy is costly. A policy introduced in the 2040s gives the network less time to build and delivers about half the protection of a policy introduced in 2020 over the same subsequent years.

Related Literature. Our main contribution is to introduce a dynamic spatial model with endogenous migrant networks. A large empirical literature shows that existing networks shape destination choice and migrant outcomes through a variety of mechanisms (Bartel, 1989; Card, 2001; Edin et al., 2003; Munshi, 2003; Beine et al., 2011; Beaman, 2012; Mahajan and Yang, 2020; Stuart and Taylor, 2021; Blumenstock et al., 2025).[1] We add to this literature by providing global evidence on the relationship between existing migrant stocks and subsequent migration flows across more than 200 countries. Despite the breadth of empirical evidence on migrant networks, these mechanisms are rarely embedded in quantitative models of migration. A notable exception is Carrington et al. (1996), who formalize this network effect by assuming that moving costs fall with the stock of prior migrants, yielding self-reinforcing dynamics and the potential for path dependence. We build on their insight by incorporating endogenous migrant networks into a multi-period, multi-location equilibrium framework that can be solved quantitatively, allowing us to study transition dynamics as well as equilibrium properties.

This framework also connects migrant networks to the development literature on risk-sharing. A central result in this literature is that migration allows households to insure against location-specific shocks. This literature shows that households use family ties across space and migration to insure against local shocks and smooth downturns (Rosenzweig and Stark, 1989; Yagan, 2014; Borusyak et al., 2026; Bryan et al., 2014; Lagakos et al., 2023). At the same time, access to insurance at the origin can reduce incentives to migrate (Munshi and Rosenzweig, 2016; Morten, 2019; Meghir et al., 2022). Closest to our mechanism, Schwartzman (2025) considers how the insurance value of migration depends on the spatial covariance of shocks, showing that migration within the Philippines is

[1] See Munshi (2020) for a recent review.

directed toward destinations whose income shocks are less correlated with those at home. Our contribution is to formally characterize and quantify how the migrant network shapes the insurance value of migration when losses are spatially correlated and evolve over time.[2]

Additionally, we build on a growing literature that studies global warming in dynamic spatial equilibrium settings where migration is a central adaptation margin.[3] Recent work emphasizes that heterogeneous climate damages can trigger large reallocations of people and economic activity across space, and that mobility frictions are therefore first-order for the welfare effects of climate change (Desmet and Rossi-Hansberg, 2015; Conte et al., 2021; Desmet et al., 2021; Bilal and Rossi-Hansberg, 2023; Conte, 2024; Cruz and Rossi-Hansberg, 2024; Bilal et al., 2025)[4]. In these models, mobility frictions are typically fixed over the transition. In our framework, part of the mobility friction comes from the migrant network, which evolves endogenously as people move. Migration today therefore changes the relative attractiveness of destinations for future migrants, so the mobility frictions also evolve as climate damages change across space.[5] Because these mobility frictions evolve with migration, they can either reinforce existing migration patterns and slow reallocation toward destinations with lower climate damages, or facilitate reallocation when migrant networks are already established in those destinations.

The remainder of the paper is organized as follows. Section 2 describes the data and documents three motivating facts on the role of diaspora networks in shaping migration destinations and their climate exposure. Section 3 develops a dynamic spatial equilibrium model of migration with endogenous migrant networks and climate change. Section 4 quantifies the model. Section 5 discusses the role of the migrant network in the welfare cost of climate change. Section 6 explores how migration policy affects adaptation through the migrant network. Section 7 concludes.

2. Three Facts about Migrant Networks and Climate Exposure

The first part of the paper documents three empirical patterns that motivate our analysis. First, migrant networks shape international migration destinations. Second, these networks are relevant for climate adaptation because origins and their networks face similar climates. However, our third fact shows that network reallocation over the past decades offset some of the warming that the diaspora would have otherwise faced. Together, these facts suggest that existing migrant networks

[2] A related literature studies diversification against spatially correlated shocks in production and trade including plant location within the firm (Castro-Vincenzi, 2024), supplier networks (Castro-Vincenzi et al., 2024), and the policy choice between diversification and reshoring (Grossman et al., 2023; Kleinman et al., 2023). We study diversification through migration, where the set of destinations available to a household is shaped by the migrant network.

[3] A related empirical literature estimates how long-run climate trends (Cattaneo and Peri, 2016; Beine and Parsons, 2017; Jessoe et al., 2018) and extreme events (Hornbeck, 2012; Groeger and Zylberberg, 2016; Deryugina et al., 2018; Mahajan and Yang, 2020; Aron-Dine, 2025) affect migration. See Cattaneo et al. (2019) for a review.

[4] See Desmet and Rossi-Hansberg (2024) for a recent review of these types of models and Carleton et al. (2024) for a broader summary of work on climate adaptation

[5] This relates to Seo and Oh (2024) who show that persistent worker types can make reallocation across industries in response to sector-specific shocks substantially more costly than implied by models without type persistence. In our framework, country of origin specific migrant networks are a persistent state that creates broad heterogeneity in the cost and desirability of relocating across destinations as location-specific climate damages evolve.

may shape future climate-induced migration, and motivate a structural model that can assess whether network-driven migration facilitates or limits future adaptation to climate change.

2.1 Data

Migrant stocks and flows. We use data on migrant stocks from the United Nations Global Migration Database (UNDESA, Population Division, 2021). This is the most comprehensive source of international migration statistics available. The database provides bilateral migration matrices that capture the stock of foreign-born populations residing in destination countries at 5–year intervals from 1990 to 2020 across over 200 countries. Our measure of bilateral migration flows comes from Abel and Cohen (2019) pseudo-Bayesian demographic-accounting series which builds on the UN bilateral migrant stock data.[6] Their approach explicitly accounts for births and deaths in the migrant population and employs a statistical estimation procedure to infer the most likely migration flows consistent with observed stocks.[7] Appendix B contains a discussion of the data construction and sources of potential systematic measurement error. To assess these concerns, Appendix A reports the main results across different subsamples of the data.

Climate data. We use data from the Berkeley Earth Surface Temperature (BEST) dataset (Rohde and Hausfather, 2020). This dataset has daily temperature measurements at $1^\circ \times 1^\circ$ spatial resolution from 1970-2020. BEST combines records from more than 30,000 weather stations and adjusts the raw station data for known measurement issues. We combine the gridded temperature data with high-resolution population data to obtain a measure of the daily temperature experienced by an average person in a country. We then aggregate these data to annual measures of average temperature and extreme heat, including the number of days above specific temperature thresholds. Appendix B describes the data construction and the additional climate measures used in the robustness exercises.

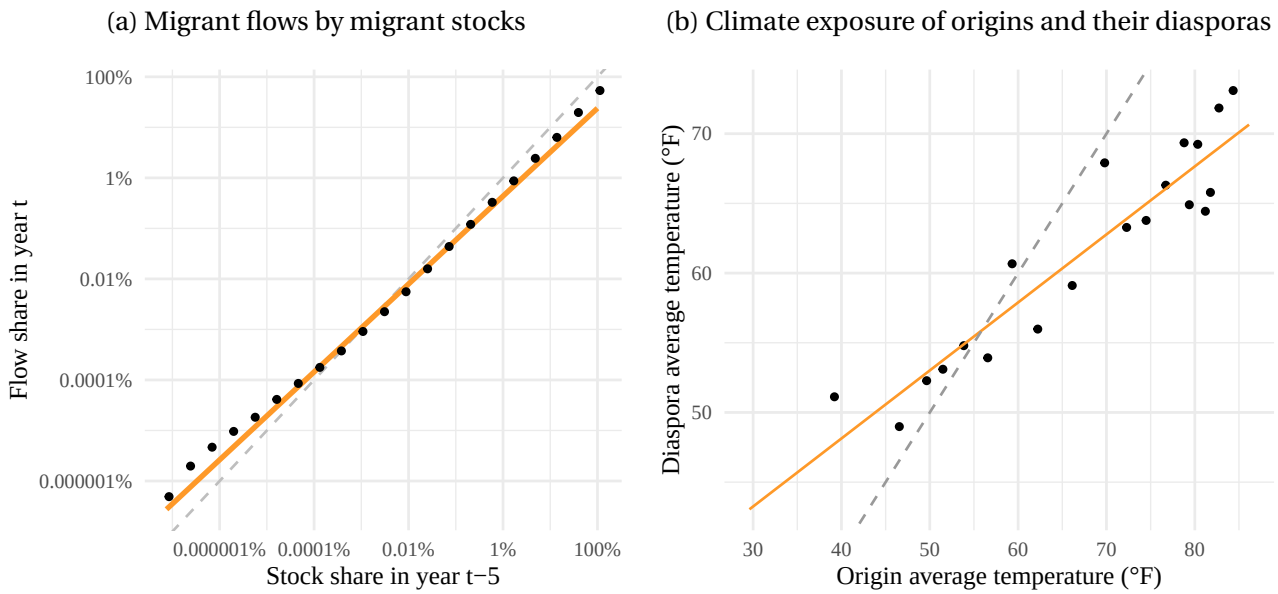
2.2 Fact 1: New emigrants follow the existing network

The data show that existing diaspora communities play an important role in explaining both the size and the destination of migration flows. Figure 1a illustrates this relationship using global bilateral migration over the last quarter century. For each origin–destination pair (o, d) and period t, we plot a binscatter of the share of origin-o flows going to destination d against the share of origin-o's pre-existing diaspora located in d five years earlier. There is a strong positive relationship between contemporaneous flows and past migrant stocks. This pattern is robust over time and across levels of economic development (see Appendix A).

[6] Differencing migrant stocks can generate spurious zeros and mismeasure flows because stock changes also reflect deaths, naturalization, and data revisions, and may miss onward migration.

[7] They use a pseudo-Bayesian approach to mix two inference strategies: The first attempts to maximize matrix diagonals (stayers) while still respecting the migrant accounting identity imposed by a start and ending stocks. The second approach attempts to spread flows more smoothly across destinations given the same margins. They find that this approach performs best against the limited sample of reported global flows measures.

Figure 1: Role of Networks in Migration and Climate Exposure



Notes: Panel (a) uses data on migrant stocks from UN Global Migration Database, flows from Abel and Cohen (2019) estimates. The figure shows a binscatter plot of flows and lagged migrant stocks for an origin-o and destination d pair using data from 1990-2020. The orange line plots the line of best fit and the dashed gray line shows the 45 degree line. Panel (b) bins origin-country temperature against the average temperature of its diaspora. The solid line is the line of best fit and the dashed line is the 45-degree line.

The positive correlation in Figure 1a does not establish a causal network effect. The same factors that make a destination attractive to migrants from a given origin, such as wages, political stability, language, colonial ties, distance, or climate similarity, may generate both larger stocks and larger subsequent flows.

To address these concerns, we implement an IV strategy following Burchardi et al. (2019) who study the impacts of ancestry on foreign investment flows across US counties. The instrument exploits the interaction of push and pull factors that coincide in a time-period to channel migrants from an origin-o into a destination-d. When a large emigration wave from origin o coincides with a period in which destination d is attractive to migrants more generally, more migrants from o settle in d. Because migrant stocks accumulate past flows, these historical push–pull interactions generate differences in the distribution of the origin-o diaspora across destinations.[8] We adapt this logic to bilateral international migration. Our push factor captures an origin country specific emigration wave, while our pull factor captures the contemporaneous attractiveness of a destination country to migrants from other countries.

Interacting total emigration from o with total immigration into d would mechanically load the $o \rightarrow d$ flow into both components of the instrument. Therefore, we follow the leave-out

[8] Burchardi et al. (2019) provide an example with nineteenth-century German migration to the Midwest, where a German emigration wave coincided with strong destination pull. There are similar examples in our data. For example, migration from Pakistan to Turkey increased after the 2010 Pakistan floods and during Turkey's 2010–2015 immigration reforms. Appendix A discusses additional case studies.

construction in Burchardi et al. (2019). They construct the origin push factor excluding migration to the destination US county Census region and the destination pull factor excluding migrants from the origin's continent. In our global setting, we use the analogous geographic leave-out at the UN subregion level. The push factor excludes migration from o to destinations in d's UN subregion, while the pull factor excludes migrants from origins in o's UN subregion.

The identifying assumption is that, conditional on fixed effects, the push–pull interaction affects subsequent $o \to d$ migration only through the migrant stock it creates. In particular, it must be uncorrelated with time-varying bilateral factors that directly affect future migration between o and d. One concern is that the push–pull interaction could be correlated with a persistent shock that continues to push migrants out of o while also keeping d relatively attractive. The geographic leave-out helps limit this concern. For such a shock to violate the exclusion restriction, it would also need to raise emigration from o toward destinations outside d's subregion and, at the same time, make d attractive to migrants from origins outside o's subregion.

We instrument for migrant stocks in year $t-5$ using the history of push–pull interactions up until year $t-5$. Appendix A contains more details on constructing the instrument. We then estimate

$$\log\left(\text{flows}_{od,t}\right) = \beta \log\left(\widehat{\text{stocks}}_{od,t-5}\right) + \delta_o + \delta_d + \delta_{od} + \varepsilon_{od,t} \tag{1}$$

where $\text{flows}_{od,t}$ is the level of the migrant flows and $\widehat{\text{stocks}}_{od,t-5}$ is the instrumented lagged level of the migrant stock. δ_o and δ_d are origin and destination fixed effects that absorb time-invariant push and pull factors common across destinations and origins, respectively. The origin-destination pair fixed effect, δ_{od}, absorbs stable bilateral characteristics such as distance, shared language, and colonial history. The specification including origin-destination pair fixed effects identifies the network effect from within-corridor changes over time. We report heteroskedasticity-robust standard errors clustered at the origin–destination pair level.

Table 1: Elasticity of Flows to Stocks

	OLS			IV	
	(1)	(2)	(3)	(4)	(5)
$\log(\text{stocks}_{od,t-5})$	0.882***	0.830***	0.089***	0.723***	0.723***
	(0.002)	(0.003)	(0.006)	(0.111)	(0.112)
o, d		✓	✓		✓
$o \times d$			✓	✓	✓
First stage F-stat				11.8	11.7

Notes: The table reports estimates of the elasticity of bilateral migration flows to lagged migrant stocks from 1990 to 2020. Migrant stocks are from the UN and gross flows from Abel and Cohen (2019). Columns (1)–(3) report OLS estimates; columns (4)–(5) instrument for lagged stocks using the leave-out push–pull instrument of Burchardi et al. (2019). Standard errors are clustered at the origin–destination pair level. * p<0.05, ** p<0.01, *** p<0.001.

The coefficient β measures the elasticity of bilateral migration flows to the lagged diaspora stock. Table 1 reports the estimates. Columns (1)–(3) show the OLS results.[9] In column (1), which includes

[9]The PPML estimates, reported in Table A1 in Appendix A, are similar to the OLS results.

no fixed effects, a 10% larger lagged migrant stock is associated with 8.3% higher subsequent flows. The coefficient decreases when we include origin–destination fixed effects in column (3). This is because migrant stocks are highly persistent over our relatively short panel, so o–d fixed effects absorb much of the identifying variation. The IV estimates in columns (4) and (5) correct for the attenuation in the OLS estimates.[10] The IV estimate implies that a 10% increase in the migrant stock raises subsequent bilateral flows by 7.2%.[11]

To illustrate the magnitude of the network effect, we ask how much of the variation in migration flows across destinations is associated with differences in existing diaspora stocks, after removing destination factors that makes some locations more attractive. For each origin-year, we use our elasticity to estimate the share of the variance in migration flows associated with differences in lagged diaspora stocks. The covariance decomposition shows that the network accounts for 59% of the remaining variation in log flow shares across destinations, after accounting for destination fixed effects.

2.3 Fact 2: Origins and their networks face similar climates

Having established that migrant networks shape destination choices, we next examine whether they also shape migrants' climate exposure across destinations. In this section, we focus on climate as measured by temperature. Average temperature is the standard measure in the damage-function literature, which estimates how warming affects economic activity (Dell et al., 2012; Burke et al., 2015; Nath et al., 2024). We report robustness to other measures of climate in Appendix A. The key takeaway is that migrants are located in destinations with similar climate as the origin. Countries that are more exposed to high temperatures also have diasporas concentrated in similarly exposed destinations.

Let T_t^ℓ denote the average temperature of the country ℓ in period t and let $s_t^{o,d}$ denote the share of migrants from origin o residing in destination d at time t[12]. Then, origin o's diaspora's temperature is

$$\bar{T}_t^o \equiv \sum_{d \neq o} s_t^{o,d} T_t^d. \tag{2}$$

Intuitively, $\bar{T}_t^o$ measures the climate conditions experienced by the average member of origin o's diaspora at time t. We plot this against the origin country's average temperature in Figure 1b. Appendix A also plots the full distribution of diaspora temperature conditional on origin temperature

[10] In addition to measurement error, OLS may be biased downward by time-varying bilateral factors, such as labor-market congestion or policy responses to larger migrant stocks.

[11] This estimate is in line with related work. Beine et al. (2011) find an elasticity of 0.76 for 1990–2000 flows to OECD destinations relative to 1990 stocks, while Beine and Parsons (2015) estimate an OLS coefficient of 0.40. Stuart and Taylor (2021)'s estimates imply roughly 0.5 additional Black migrants and 0.1 additional white migrants per diaspora member over a five-year period during the Great Migration. Our estimate implies about 0.3 additional migrants per diaspora member over the same horizon.

[12] Such that $\sum_{d \neq o} s_t^{o,d} = 1$.

Figure 1b shows a strong positive relationship between origin and diaspora temperature, with a correlation coefficient of 0.7. Migrants from hotter countries therefore tend to be concentrated in destinations that are also relatively hot. This suggests that the existing geography of migrant networks provides limited diversification from origin-country climate exposure. Appendix A shows that this relationship is robust across subsamples and alternative measures of climate exposure.

The positive correlation is consistent with gravity. Migration is concentrated toward nearby destinations, and climate is spatially correlated, so origins and diasporas have similar climates. Migrant networks are geographically concentrated near the origin, with differences by origin-country income. Migrants from low-income countries are closer to home: the average migrant from a low-income country lives 2,700 km from the origin, compared with 3,800 km for migrants from high-income countries. Appendix A reports the full distribution of migrant distances by origin-country income group. Nearby destinations are valuable when shocks are country-specific, which is consistent with the strong role of distance in many historical migration episodes, including refugee flows (Moore and Shellman, 2007).[13] Climate exposure, however, is spatially correlated across neighboring countries. As a result, networks concentrated in nearby destinations may provide limited protection against climate change.

2.4 Fact 3: Migrant networks show some adaptation with warming

Average global temperatures have increased by 1.5°F from 1995 to 2020 (Rohde and Hausfather, 2020). A key question for understanding the role of networks is whether people have adapted to warming to date by migrating to cooler destinations and, in doing so, shifted diaspora networks toward countries with lower exposure. Our central finding is that migration patterns over the past three decades have partially offset the climate exposure of networks. We find that most changes in diaspora-network exposure reflect evolving climate conditions in existing destinations, but a reallocation of migrant networks toward safer destinations mitigated some of that increasing exposure.

To formalize this analysis and distinguish changes in $\bar{T}^o_t$ driven by warming in destinations versus shifts in the migrant network, we decompose the change in the diaspora exposure of an origin country, $\Delta\bar{T}^o = \bar{T}^o_{2020} - \bar{T}^o_{1995}$, as:

$$\Delta\bar{T}^o = \underbrace{\sum_{d\neq o} s^{o,d}_{1995}\,\Delta T^d}_{\text{warming-at-destinations}} + \underbrace{\sum_{d\neq o} \Delta s^{o,d}\,T^d_{1995}}_{\text{network reallocation}} + \underbrace{\sum_{d\neq o} \Delta s^{o,d}\,\Delta T^d}_{\text{interaction}} \tag{3}$$

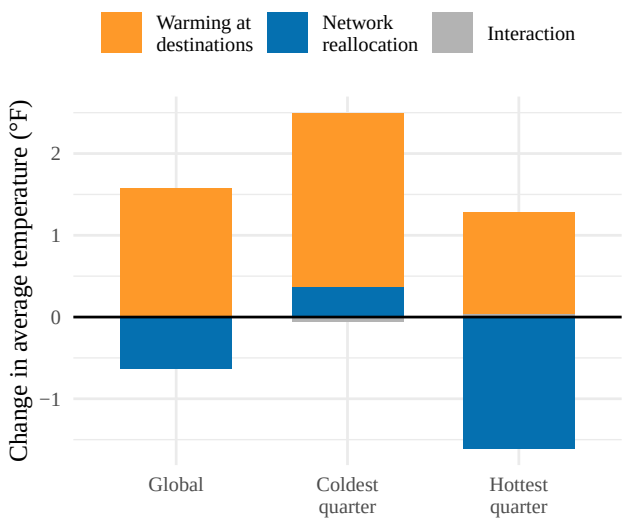
The first term is the warming-at-destinations term that isolates how exposure changes if destination exposure evolves while network shares stay fixed at $s^{o,d}_{1995}$. We expect this term to be positive given the warming that has happened over this time period. The second term is a network reallocation term that isolates how exposure changes holding destination temperature at baseline

[13] Related work shows that the value of proximity depends on the spatial scale of risk; see Rosenzweig and Stark (1989) and Kazianga and Udry (2006).

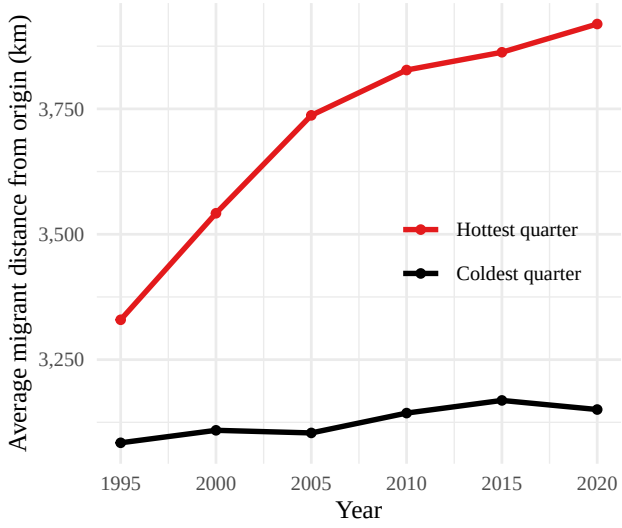
levels, T^{d}_{1995}, while allowing network shares to shift from $s^{o,d}_{1995}$ to $s^{o,d}_{2020}$. If people are shifting migration patterns toward safer destinations, then this term should be large and negative. The interaction term captures whether the network is reallocating toward destinations whose exposure is changing the most. It is positive when the network shifts toward destinations that are warming more, and negative when they shift toward destinations that are warming less or cooling.[14]

Figure 2: Changes in Climate Exposure and Geography of Networks

(a) Decomposing change in diaspora exposure



(b) Migrant distance from origin over time



Notes: Panel (a) decomposes the change in migrant-network climate exposure from 1995 to 2020 into network reallocation (blue), warming at destinations (orange), and their interaction (grey), globally and for origins in the bottom and top temperature quartiles. Panel (b) plots migrants' average distance from the origin over time for the same quartiles. Temperature data are from BEST; bilateral distance is from GeoDist (Mayer and Zignago, 2011).

Figure 2a plots this decomposition globally and for countries in the top and bottom quartile of our climate measure. Globally, the orange bar representing warming-at-destinations dominates. However, the blue bars representing network reallocation are negative and large. This suggests that migration has been to cooler regions. Network reallocation offset about 40% of warming, and this offset is larger for the hottest countries. This pattern could reflect networks becoming geographically dispersed over this time period. Figure 2b plots the average distance of migrants from their origin for countries in the hottest and coldest quartiles. For the hottest quartile, the average migrant is 550 km further from home in 2020 than in 1995, while the coldest quartile had little change.

The empirical evidence shows that migrant networks shape where people move and, in turn, the climate exposure of migrants' destinations. Migrants from hotter origins tend to have diasporas

[14]We do not interpret the network-reallocation term as migration caused by climate change. In practice, it is difficult to define a "climate move," since migration may respond to events partly shaped by climate e.g. Kelley et al. (2015) link the 2007–2010 drought in Syria to the civil war. Additionally, a regression of migration on climate shocks may not recover a causal estimate since exposure to those shocks is non-random (Borusyak and Hull, 2023). Therefore, we use the decomposition to ask if the sum of all migration over the period changed the climate exposure of networks.

in similarly hot destinations, although there has been some reallocation toward cooler and more distant destinations over time. These facts describe the past role of networks, but our main question is how they will affect adaptation as climate change worsens. Answering this question requires a model that predicts how migration and migrant networks respond to future warming, allows us to compare outcomes with and without network effects, and maps changes in climate exposure into welfare. We turn to a dynamic model of migrant networks and climate change in Section 3.

3. Model of Migrant Networks and Climate Change

The findings in Section 2 suggest that migrant networks will shape adaptation to climate change. Networks can contribute to adaptation by helping move people out of the most climate-exposed regions. But they may also limit adaptation by directing migrants to destinations facing a similar climate. We build a model to formalize both channels and measure their net effect on welfare as the difference in climate damages between an economy with migrant networks and one without. Which channel dominates depends on how strongly the network pulls migrants, on how correlated damages are between an origin and its network's destinations, and on how the network shifts as warming proceeds.

The empirical findings dictate three new features absent from existing quantitative spatial models of climate change. First, new emigrants follow the existing network. In the model, the diaspora at a destination therefore enters household utility. Second, migrants settle in destinations whose climate resembles that of their origin. The value of a destination therefore depends on how its stochastic climate damages co-move with damages at home. Third, networks have shifted with recent warming. An origin's diaspora is therefore a state variable that updates with migration.

The rest of the economic environment is deliberately sparse. We abstract from trade in differentiated goods, from capital, from any fixed factor of production, from endogenous amenities, and from any market size effects. We also abstract from differences in household income within an origin, and we capture financial constraints on migration through a residence cost that falls with origin income. Including these features would change the magnitude of climate damages at a given location. Our results, however, are driven by how attractive a destination is to one origin relative to others, and a destination-wide force changes the level of damages in the same way with or without the network, leaving the interaction unchanged.

3.1 Set Up

We consider a world with N locations. Time is discrete.

Production. Competitive firms in each location ℓ produce a freely traded good with a linear technology in labor, $Y_t^\ell = A_t^\ell L_t^\ell$. The local wage is $w_t^\ell = A_t^\ell$. Productivity has three components,

$$A_t^\ell \;=\; A_0^\ell \, g_t^\ell \, z_t^\ell, \tag{4}$$

a time-invariant fundamental A_0^ℓ, a deterministic growth path g_t^ℓ, and proportional climate damages z_t^ℓ.

Climate. The climate at a location is the distribution of its temperature, and climate change is a known shift in that distribution. The temperature at location ℓ in period t is its mean plus a weather shock, $q_t^\ell = \bar{q}_t^\ell + \eta_t^\ell$. Across locations, mean temperature is the vector $\bar{\mathbf{q}}_t = (\bar{q}_t^1, \ldots, \bar{q}_t^N)$, and the weather shocks are jointly normal with covariance $\mathbf{\Gamma}_t$. We assume that weather shocks are independent across periods. Climate change is then the sequence of weather distributions $\{\bar{\mathbf{q}}_t, \mathbf{\Gamma}_t\}_{t=0}^T$. We assume that after some date T the climate stabilizes at $(\bar{\mathbf{q}}_T, \bar{\mathbf{\Gamma}}_T)$.

Following the empirical climate literature, we model climate damages as a proportional output loss that depends on temperature (Dell et al., 2012; Burke et al., 2015; Nath et al., 2024). A damage function d maps temperature into log output. Damages may persist beyond the period of the shock (Newell et al., 2021; Nath et al., 2024), so they follow an AR(1) around a trend,

$$\log z_t^\ell \;=\; \log \bar{z}_t^\ell \;+\; \psi\big(\log z_{t-1}^\ell - \log \bar{z}_{t-1}^\ell\big) \;+\; \zeta_t^\ell, \tag{5}$$

with persistence $\psi \in (-1, 1)$. The trend is the damage at the mean temperature, $\log \bar{z}_t^\ell = d(\bar{q}_t^\ell)$, and the innovation ζ_t^ℓ is the damage from the weather shock, which we assume is normally distributed with covariance $\mathbf{\Sigma}_t$.

Households. A household is characterized by its origin o, which is fixed for life. At $t = 0$, there is an initial population distribution for every origin country across locations. Let $L_t^{o,\ell}$ denote the number of households from origin o living in location ℓ at the start of period t. We abstract from population growth so the total population from o is constant over time and equal to L^o. We define $x_t^{o,\ell} = L_t^{o,\ell}/L^o$ as the share of the origin-o population living in ℓ, and call $\mathbf{x}_t^o = (x_t^{o,1}, \ldots, x_t^{o,N})$ the migrant network of origin o.[15]

Each household supplies one unit of labor inelastically and earns the wage w_t^d in its chosen location d. Households purchase a tradable consumption good at a price normalized to one in all locations. With no saving and no borrowing, households consume their wage income. Households are forward-looking, discount the future at rate $\beta < 1$, and have rational expectations. Flow utility is $\log c_t^d + h(x_t^{o,d})$, so a household values both consumption at its chosen destination and the share of its own origin population living there.[16] The function h is increasing, bounded above, and continuously

[15] Because the model is written in shares, any demographic process proportional to $L_t^{o,\ell}$ leaves $\mathbf{x}_t^o$, and hence all decisions, unaffected. We abstract from two demographic channels that could matter in practice. First, differential fertility across origins or with climate exposure (e.g., Doepke et al., 2023; Barreca et al., 2018) would make L^o time-varying and add a location-specific drift to the law of motion (9). Second, the assimilation of o-origin descendants into destination communities (e.g., Abramitzky et al., 2014; Bisin and Verdier, 2011) can be modeled as a per-period hazard with which a household exits the co-ethnic network, which erodes the effective network stock over generations. Both extensions preserve the origin-by-origin structure of the law of motion and neither channel is likely first order at the horizons we study.

[16] We assume the climate affects only productivity and not the amenity of living in a location. Cruz and Rossi-Hansberg (2024) estimate both effects and find they contribute about equally to welfare losses from warming. Because flow utility is log consumption, an amenity loss would enter exactly as a productivity loss of the same size in logs, so including it would

differentiable.

In addition, households have idiosyncratic preference shocks for each potential destination, $\epsilon_t^{o,d}$. We assume these shocks are i.i.d. across households, destinations, and time, and drawn from a Gumbel distribution normalized to have mean zero. The shape parameter $\nu > 0$ scales their dispersion and is common across origins. These assumptions imply a common elasticity of migration to utility differences.

Households from origin o also pay a utility cost $\kappa_t^{o,d}$ in every period they live in location d, with $\kappa_t^{o,o} = 0$, as in Desmet et al. (2018) and Cruz and Rossi-Hansberg (2024).[17] We interpret the residency cost as capturing pecuniary and non-pecuniary costs associated with living away from a household's origin county. These include conversing in a foreign language, maintaining legal status, and living in a foreign culture with different institutions. The cost is additive in utility and independent of intermediate moves. This formulate of costs matches our data. The migrant stocks in Section 2 record where a household was born and where it lives now, not where it lived last period. No global data exists that would identify the cost of moving between two foreign countries.

Based on empirical evidence that financial constraints limit migration (Bryan et al., 2014; Angelucci, 2015; Cattaneo and Peri, 2016; Bazzi, 2017; Aron-Dine, 2025; Barbosa-Alves, 2025), we allow emigration costs to fall with origin country income. We do not model household financial constraints explicitly. Instead we capture them in reduced form by letting residence costs fall uniformly for households from origin o as its economy grows:

$$\kappa_t^{o,d} \;=\; \kappa^{o,d} - \lambda \log\left(A_0^o\, g_t^o\right), \qquad d \neq o. \tag{6}$$

Here $A_0^o g_t^o$ is origin country income absent climate change. A one percent rise in origin income lowers the cost of living abroad by λ percent of consumption. Because the cost depends on income absent climate change, a climate damage at home lowers the wage but does not make it harder to leave.[18]

3.2 Migration Decisions

In the model, migration is the household's only technology for adjusting its exposure to climate change. Where a household chooses to live depends on wages, the cost of living away from home, and the size of its own community at each destination.

raise the level of damages without changing their interaction with the network.

[17] Desmet et al. (2018) let the flow cost of moving from r to s factor into an origin and a destination component, $m(r,s) = m_1(r)m_2(s)$, with $m(r,r) = 1$. Because the costs of a household's successive moves multiply, the product becomes a cost of residing in d that depends only on the household's origin o. Our $\kappa^{o,d}$ is that object with the separability relaxed, so it need not be the difference between a destination term and an origin term.

[18] If the cost instead depended on realized origin income, a climate shock in o would raise the cost of leaving by λ times the damage, and the response of emigration to a damage would fall from $1/\nu$ to $(1-\lambda)/\nu$. That is the trapped-population channel as in Cattaneo and Peri (2016) and Barbosa-Alves (2025). We leave it out for two reasons. A period in our model is five years, long enough for a household to save for a move after a bad year in line with findings from Barbosa-Alves (2025) that households save ahead of anticipated warming. Adding this channel would lower adaptation through migration but would not interact with the migrant network.

Based on evidence that the value of a network comes from migrants who are already established, we let flow utility depend on the network at the start of the period, $\mathbf{x}_t^o$. Established migrants provide information about jobs and housing (Munshi, 2003; McKenzie and Rapoport, 2007) and job referrals (Bayer et al., 2008). Migrants who arrive at the same time do not. Beaman (2012) shows this with the random assignment of refugees across US cities. Refugees have better labor market outcomes when assigned to cities with a larger established community from their own country, and worse outcomes the larger the cohort resettled alongside them.

In each period a household observes climate damages $\mathbf{z}_t$ in every location and its preference shocks $\boldsymbol{\epsilon}_t^o$, and chooses the location d where it will live and work. A household from origin o solves

$$v_t^o\big(\mathbf{x}_t^o, \mathbf{z}_t\big) \;=\; \max_d \Big\{ \log c_t^d + h\big(x_t^{o,d}\big) - \kappa_t^{o,d} + \nu\, \epsilon_t^{o,d} \;+\; \beta\, \mathbb{E}\Big[v_{t+1}^o\big(\mathbf{x}_{t+1}^o, \mathbf{z}_{t+1}\big) \,\Big|\, \mathbf{x}_t^o, \mathbf{z}_t \Big] \Big\}. \tag{7}$$

The continuation value is the same at every destination, so it cancels from the Gumbel choice probabilities. The probability that a household from origin o chooses destination d is

$$\pi_t^{o,d} \;=\; \frac{\exp\big(\big[\log c_t^d + h\big(x_t^{o,d}\big) - \kappa_t^{o,d}\big]/\nu\big)}{\sum_{i=1}^{N} \exp\big(\big[\log c_t^i + h\big(x_t^{o,i}\big) - \kappa_t^{o,i}\big]/\nu\big)}. \tag{8}$$

Migration is reversible. A household pays $\kappa_t^{o,d}$ only as long as it lives in d, and a household that moves to d' pays $\kappa_t^{o,d'}$ instead. A household that leaves o and later returns pays nothing for having left. There is no sunk cost.[19]

Every household from origin o solves the same problem, because the choice probabilities do not depend on its current location. Next period's network is therefore the vector of choice probabilities,

$$x_{t+1}^{o,d} \;=\; \pi^{o,d}\big(\mathbf{x}_t^o, \mathbf{z}_t\big). \tag{9}$$

Households never need to forecast the network their own choices produce. Origins do not interact, because wages do not depend on who lives where and each household values only the share of its own origin at a destination. Households from the same origin do interact, through h, and a household that moves does not take into account that it raises the utility of every compatriot at its destination.

While the household's migration decision in the model is static, the welfare effects of climate change are not. The discount factor cancels from (8) because the continuation value is the same at a given destination across households from o, and does not depend on the household's current

[19] A sunk cost of moving instead of a flow residency cost would add three things. First, households would move in anticipation of future climate damage, since the choice would depend on future as well as current payoffs. To date there is little evidence that households do so (Hoffmann et al., 2020; Aron-Dine, 2025). Second, households that had already paid to move would be more likely to stay in a destination given a bad climate realization. Third, households would wait to see how bad a climate shock is before paying to move. The first would raise the value of the network as insurance and the second would lower it.

location.[20] The household's value function in (7) still contains the full expected path of wages, climate damages, and the network. Expected lifetime utility before the preference shocks are drawn, V_t^o, solves

$$V_t^o \;=\; \nu \log \sum_{d=1}^{N} \exp\Big(\big[\log c_t^d + h\big(x_t^{o,d}\big) - \kappa_t^{o,d} \big] / \nu \Big) \;+\; \beta\, \mathbb{E}\big[V_{t+1}^o \,\big|\, \mathbf{x}_t^o, \mathbf{z}_t \big]. \tag{10}$$

The welfare effects of climate change therefore depend on where the network will be as climate damages grow, on how correlated future weather shocks are across the destinations open to a household from origin o, and on how quickly the network adjusts.

Dividing (8) for destination d by the same expression for the origin country and taking logs delivers a gravity equation for migrant stocks,

$$\log\left(\frac{x_{t+1}^{o,d}}{x_{t+1}^{o,o}} \right) \;=\; \frac{1}{\nu} \left[\log\left(\frac{w_t^d}{w_t^o} \right) - \kappa_t^{o,d} \;+\; h\big(x_t^{o,d}\big) - h\big(x_t^{o,o}\big) \right]. \tag{11}$$

Three forces determine the size of the diaspora at d relative to the population still in the origin, and the migration elasticity ν converts each of them from utility into log odds. The first two are the standard gravity forces, the wage ratio w_t^d / w_t^o as the return to migration and $\kappa_t^{o,d}$ as the cost of living away from the origin. The third is the network.

3.3 Equilibrium

Given the structure of the model, the equilibrium path is unique independent of the strength of network preferences. However, network preferences determine the long-run population distribution that the economy reaches.

Definition 1 (Equilibrium)**.** Given initial networks $\mathbf{x}_0^o$ and residence costs $\boldsymbol{\kappa}^o$ for all o, initial damages $\mathbf{z}_0$, fundamental productivities $\mathbf{A}_0$, growth paths $\{\mathbf{g}_t\}_{t\geq 0}$, climate paths $\{\bar{\mathbf{q}}_t, \boldsymbol{\Gamma}_t\}_{t\geq 0}$, and a sequence of weather shocks $\{\boldsymbol{\eta}_t\}_{t\geq 1}$, an equilibrium is a sequence of damages $\{\mathbf{z}_t\}_{t\geq 1}$, wages $\{\mathbf{w}_t\}_{t\geq 0}$, and networks $\{\mathbf{x}_t^o\}_{t\geq 1}$ and choice probabilities $\{\boldsymbol{\pi}_t^o\}_{t\geq 0}$ for each o such that in every period damages follow the climate process (5), wages equal local productivity (4), households optimize so that choice probabilities satisfy (8), and the population distribution is consistent with household choices, $\mathbf{x}_{t+1}^o = \boldsymbol{\pi}_t^o$ for every origin.

Proposition 1 (Existence and Uniqueness)**.** Given initial networks and damages, an equilibrium exists and is unique for any residence costs, any realization of weather shocks, and any strength of network preferences.

[20] The continuation value for a given destination d, is the same for all households from o, no matter what their current location is. This is because the household chooses their destination each period and the residence costs do not depend on current location. There are no sunk migration costs, only the flow residence costs, so a migration choice in period t does not change the menu of costs that an agent faces in period $t+1$. The continuation value of ending up in Canada is the same for a Ghanaian in Ghana and a Ghanaian in the US.

The full proof can be found in Appendix C. Intuitively, this period's wages and the inherited networks determine the household choice probabilities, and the choice probabilities determine next period's networks. Each step has a single solution. The unique equilibrium path can therefore be constructed period by period.

3.4 Network Dynamics, Steady States, and Stationary Distributions

The key object for the dynamics of the network is the response of migration to the size of the existing network. Differentiating (11), holding the share at home fixed, gives the elasticity of migration to the network,

$$\varepsilon_t^{o,d} \equiv \frac{\partial \log \left(x_{t+1}^{o,d} / x_{t+1}^{o,o}\right)}{\partial \log x_t^{o,d}} \;=\; \frac{x_t^{o,d}\, h'\left(x_t^{o,d}\right)}{\nu}. \tag{12}$$

The numerator is the local strength of the network preference. A one percent larger diaspora in d raises the utility of living there for households from o by $x_t^{o,d}\, h'\left(x_t^{o,d}\right)$. The denominator is the dispersion of location tastes. When ν is large, a household's idiosyncratic attachment to a location outweighs differences in wages and networks, so few households move in response to a change in relative utility.

The migrant network makes the migration response to a shock persistent. Consider a one-time shock δ to the log relative wage of d that fades after one period. The direct response is δ/ν in the first period. Because this migration increases the size of the diaspora in d, it draws additional migrants in subsequent periods even after the shock has faded. After t periods, the log odds of living in d are still higher by $(\delta/\nu)\,\varepsilon^t$. When $\varepsilon < 1$ the effect of a one-time shock fades and the diaspora returns to the size supported by fundamentals. When $\varepsilon \geq 1$ the effect does not fades and so the size of the diaspora depends on the full history of past shocks rather than on fundamentals.

The migrant network also amplifies the migration response to a permanent change in fundamentals. Consider a permanent change δ in the log relative wage of d. The direct response is again δ/ν in the first period, but the change is now permanent, so it raises the log odds of living in d by δ/ν in every period. The direct response increases the diaspora in d and draws additional migrants in every period. The long-run change in the log odds of living in d is the sum $\sum_{t=0}^{\infty}(\delta/\nu)\,\varepsilon^t$. When $\varepsilon < 1$ the sum converges and the network multiplies the direct response to a permanent change by $1/(1-\varepsilon)$. When $\varepsilon \geq 1$ the sum does not converge, the diaspora in d continues to grow.

Persistence and amplification matter for the effectiveness of migration as an adaptation strategy and for the role of migration policy. Amplification through the migrant network determines the magnitude of the migration response to climate change. Persistence determines whether a temporary policy, such as a border closure, has a permanent effect on where people live. Both results hold only locally, since they fix the elasticity at the current network. To characterize the long-run location of the migrant network, we first describe the steady states of the law of motion (9) in the absence of weather shocks.

Definition 2 (Steady State)**.** Hold the climate fixed at its mean, $\boldsymbol{\eta}_t = \mathbf{0}$ for all $t > T$, and the growth

path for productivity in every location at $\bar{\mathbf{g}}$. A steady state for origin o is a network $\mathbf{x}^o$ that solves $\mathbf{x}^o = \boldsymbol{\pi}^o(\mathbf{x}^o, \bar{\mathbf{z}}_T)$.

Proposition 2 (Unique Steady State)**.** A steady state exists for every origin. If the elasticity of migration to the network is below one, $\varepsilon_t^{o,d} < 1$ for every $x_t^{o,d} \in [0,1]$, the steady state is unique and the network converges to it from any initial population distribution. If at a steady state $\varepsilon^{o,d}(1-x^{o,d}) > 1$ for some destination d, that steady state is unstable and (9) has more than one steady state.

The full proof can be found in Appendix C. Intuitively, when the elasticity is below one everywhere, two economies with the same fundamentals but different initial networks converge to the same steady state, at a rate equal to the elasticity. When the elasticity is above one at a steady state, two economies with the same fundamentals but slightly different initial networks move apart, and converge to different steady states. In this case, a small group of migrants who move away from the steady state generates sustained additional migration, so a network near that steady state moves away from it rather than converging back.

We now characterize the long-run location of the migrant network with weather shocks. Even after the climate has stabilized, weather shocks continue to generate migration. For example, a dry year in Ghana induces Ghanaians to migrate to Nigeria. The larger Ghanaian community makes Nigeria a more attractive destination in subsequent years even after the drought ends, so the share of Ghanaians in Nigeria falls only gradually. In a stable climate with weather shocks, the network never settles at a steady state. Instead, the distribution of the network converges. The analogous question is whether that distribution is unique.

Definition 3 (Stationary Distribution)**.** Hold the climate fixed at $(\bar{\mathbf{q}}_T, \boldsymbol{\Gamma}_T)$ for all $t > T$ and the growth path at $\bar{\mathbf{g}}$. A stationary distribution for origin o is a distribution μ^o over networks such that if $\mathbf{x}_t^o$ is drawn from μ^o and damages follow (5), then $\mathbf{x}_{t+1}^o$ is also distributed according to μ^o.

Proposition 3 (Unique Stationary Distribution)**.** A stationary distribution exists for every origin. If the elasticity of migration to the network is below one, $\varepsilon_t^{o,d} < 1$ for every $x_t^{o,d} \in [0,1]$, the stationary distribution is unique and the distribution of the network converges to it from any initial population distribution.

The full proof can be found in Appendix C. Intuitively, when the elasticity is below one everywhere, two economies with the same fundamentals and the same sequence of weather shocks but different initial networks converge to the same network. The distribution of the network after many periods therefore does not depend on the initial network, and the stationary distribution is unique. When the elasticity exceeds one at some steady state, the same two economies do not necessarily converge to the same network distribution. Each economy remains near the closest stable steady and only a sequence of unusually large weather shocks moves it to another. The distribution of the network can therefore depend on the initial network.

Propositions 2 and 3 are the counterparts of the uniqueness results in the spatial equilibrium literature. Allen et al. (2020) and Kucheryavyy et al. (2023) give conditions under which a static

spatial equilibrium is unique by comparing the strength of agglomeration with the dispersion of tastes. Allen and Donaldson (2020) provide the dynamic version for a single perturbation to a deterministic system. None of these economies have persistent risk, so the object their conditions pin down is a single allocation of households across locations. In our model with climate risk, the object is a distribution of networks, and the analogous condition determines whether that distribution is unique. We return to the policy implications in Section 6.

4. Model Quantification

In order to quantify how much migrant networks limit adaptation to climate change, we need to parametrize three things. First, in order to measure the damages from climate change we need a counterfactual path for economic growth absent global warming. Second, in order to simulate the climate that households face we need the expected path and spatial covariance of climate damages. Third, in order to predict how much and where households will migrate in response to climate change we need to estimate migration elasticities and residence costs. Table 2 lists all model parameters, and Appendix D provides additional details on our quantification.

Table 2: Parameter Values

Parameter	Description	Value	Source
Panel A. Economic growth absent climate change			
A_0^ℓ	productivity level		Penn World Table
g_t^ℓ	growth path		SSP3, OECD ENV-Growth
Panel B. Climate damages			
$\bar{q}_t^\ell$	expected temperature path		MPI Grand Ensemble
$\mathbf{\Gamma}_t$	weather shock covariance		MPI Grand Ensemble
$d'(\bar{q}_t^\ell)$	marginal damage		Nath et al. (2024)
$\bar{z}_t^\ell$	expected damage path		$d(\cdot)$ integrated along $\bar{q}_t^\ell$
ψ	damage persistence	0.66	Nath et al. (2024)
Panel C. Migration elasticities and costs			
β	discount factor	0.90	2% annual rate
$1/\nu$	international wage elasticity	0.25	Section 4.3
θ_1	network preference	2.94	Section 4.3
θ_0	network floor	1.1×10^{-8}	Section 4.3
$\kappa^{o,d}$	residence costs		Section 4.3
λ	emigration cost elasticity	0.24	Section 4.3

4.1 Economic growth absent global warming

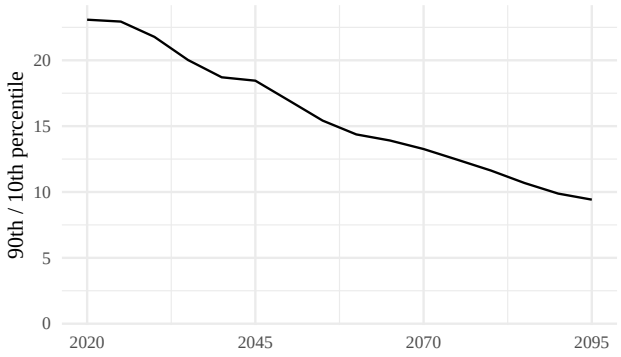
Migration patterns will change over the century even absent climate change, because countries' economies will grow at different rates. To separate migration driven by economic growth from migration driven by climate change, we need to predict economic growth absent global warming. We take the growth projections from the shared socioeconomic pathways, the scenarios underlying

much of the climate literature (Burke et al., 2015; Carleton et al., 2022; Nath et al., 2024). The five pathways differ in their assumptions about how fast poorer countries will catch up to richer ones (Riahi et al., 2017).[21] We use the growth rates implied by the income projections of the OECD's ENV-Growth model (Dellink et al., 2017; International Institute for Applied Systems Analysis, 2025), which map directly into g_t^ℓ in (4).

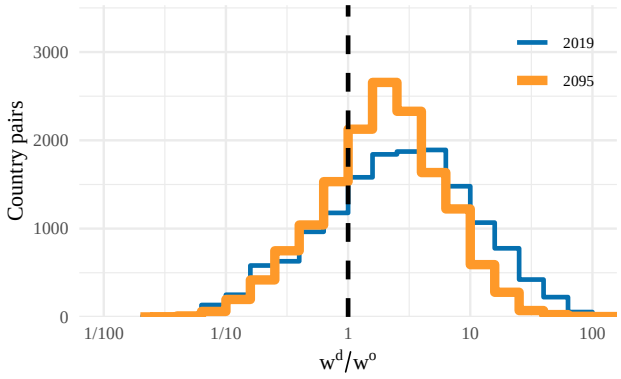
Our baseline pathway is SSP3, the pathway of slow growth and slow catch-up that is commonly used in the climate-impacts literature. Under SSP3 the average return to migration falls over the century. In Appendix **??**, we report our main results under alternative pathways. Figure 3(a) plots the ratio of the ninetieth to the tenth percentile of GDP per capita across countries, through the end of the century. Figure 3(b) shows the distribution of the destination wage relative to the origin wage, in 2019 and in 2095, for every pair of countries whose origin is in the half of countries below the median of GDP per capita in 2019. The ratio of the ninetieth to the tenth percentile falls from 23 to 9.4, and the median wage ratio facing a poor origin falls from 2.7 to 2.0.

Figure 3: The Evolution of the Distribution of Relative Wages

(a) Dispersion of GDP per capita under SSP3



(b) Relative wage distribution, below median origins



Notes: Panel (a) plots the ratio of the 90th to the 10th percentile of GDP per capita across countries under SSP3. Panel (b) plots histograms of the destination wage relative to the origin wage in 2019 and 2095 over all pairs of countries whose origin is below the median of GDP per capita in 2019.

4.2 Climate damages

We construct both the expected path of climate damages and the covariance of climate damage shocks across countries by combining the output of a climate model with an empirical damage function.

[21] There are two main alternative approaches to long-run growth prediction. The first is probabilistic. Müller et al. (2022) fit a Bayesian factor model to a century of growth in 113 countries and report a distribution instead of a set of pathways. However, a century of data can only weakly identify century-long persistence, so the dispersion of that distribution depends heavily on assumptions about the persistence of growth. The second is structural. Models in the tradition of Desmet et al. (2018) generate growth inside the model rather than imposing an external path, but that path then depends heavily on assumptions about local innovation and diffusion. Every approach to predicting economic growth through the end of the century must make strong assumptions.

The climate path. We take the expected warming path for every country, as well as the weather shocks around that path, from the Max Planck Institute Grand Ensemble. The ensemble runs the MPI-ESM1.1 climate model 100 times under the RCP 8.5 emissions path using different initial conditions for each run (Maher et al., 2019).[22] The climate system is chaotic, so two runs with the same emissions path but slightly different initial conditions produce different weather paths for the same warming. We take the mean warming path, $\bar{q}_t^\ell$, from the average across runs. The realized weather shock for each run is its deviation from average warming. We construct the weather covariance, $\mathbf{\Gamma}_t$, as the sample covariance of those deviations across countries, pooled into twenty-year bins.

The damage function. In the model, climate damages z_t^ℓ enter as a productivity shock which follows an AR(1) process in deviations from expected damages, $\log \bar{z}_t^\ell = d(\bar{q}_t^\ell)$. We adopt the damage function of Nath et al. (2024), who estimate the marginal damage of a degree of warming as a function of a country's temperature, $d'(q) = \beta_0 + \beta_1 q$. They find that an additional degree of warming raises output in countries with a cold climate and lowers it in countries with a hot climate. To construct our expected path for climate damages, we integrate the marginal damage from each country's 2020 temperature, so damages are zero in 2020 and $\bar{z}_t^\ell$ is output under warming relative to the no-warming path $A_0^\ell g_t^\ell$. This path of expected damages is comparable to standard measures of climate damages (Burke et al., 2015; Bilal and Känzig, 2024; Nath et al., 2024).

The covariance of damages. The covariance of damage shocks across countries follows from the covariance of weather and the slope of the damage function. Each period a location's damage deviates from its expected path by the damage from that period's weather shock, η_t^ℓ. Linearizing the damage function around the mean temperature, the damage shock is the marginal damage times the weather shock, $\zeta_t^\ell = d'(\bar{q}_t^\ell)\,\eta_t^\ell$, so the covariance of damages across locations i and j is the covariance of their weather scaled by the two marginal damages,

$$\Sigma_t^{ij} = E_{t-1}\left[\zeta_t^i \zeta_t^j\right] = d'\left(\bar{q}_t^i\right) d'\left(\bar{q}_t^j\right) \Gamma_t^{ij}. \tag{13}$$

The slopes of both countries' damage functions are evaluated at the mean temperature in period t. Therefore the covariance of damages can change over the century as countries warm, even if the covariance of weather is unaffected.

Correlated weather does not imply correlated damages. Dividing (13) by the standard deviation of damages in each location, the correlation of damages between i and j is the correlation of weather with the sign of the product of the two marginal damages. Because the marginal damage is linear in temperature, the damage function has a single peak. Two locations on the same side of it have marginal damages of the same sign, so a warm year is a cost to both or a gain to both and their damages are as correlated as their weather. Locations on opposite sides of the peak have marginal

[22] RCP 8.5 is a pessimistic path for emissions and warming that is commonly used in the empirical damage function literature (Burke et al., 2015; Carleton et al., 2022; Nath et al., 2024). We report our main results under RCP 4.5 and other alternative projections for warming in Appendix **??**.

damages of opposite sign, so the same weather shock raises output in one and lowers it in the other, and their damages are negatively correlated even when their weather is highly correlated. A location with zero marginal damage suffers no economic impact from a weather shock, so its damages are uncorrelated with those of all other locations.

This method allows us to construct the covariance of damages, an object that, to our knowledge, has not been estimated for GDP damages. Damage functions estimated on panel data include year fixed effects, which absorb the comovement of damages across countries. Bilal and Känzig (2024) recover comovement by identifying damages from global rather than local temperature, but a single global shock makes any two countries' damages perfectly correlated. Dingel et al. (2019) recover changes in correlation of cereal yields from ENSO events, which shift the spatial correlation of productivity across the world, but as one global index per year rather than country by country. Our question needs the whole matrix $\mathbf{\Sigma}$. A migrant network is like a portfolio of destinations, and its value depends on the covariance of each destination's damages with those at origin.

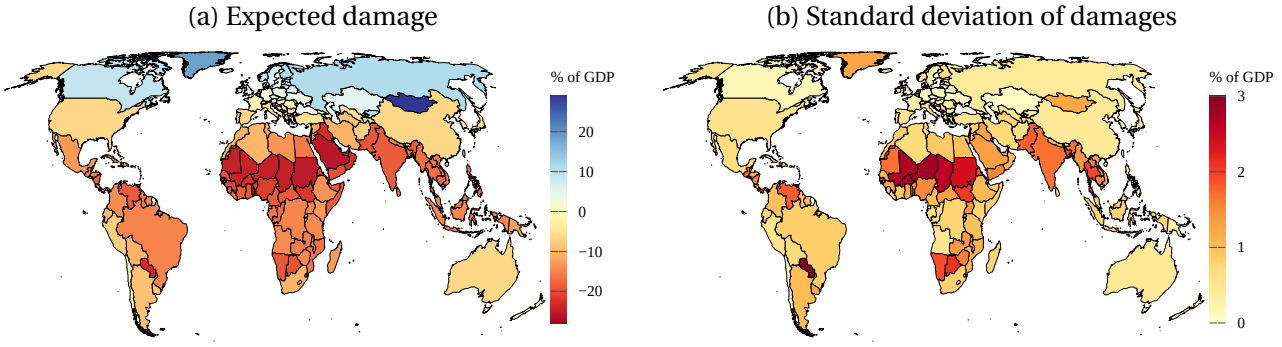
The persistence of damage shocks. The remaining parameter of the climate process is the persistence of damage shocks, ψ. While weather shocks in our model are independent across periods, the output losses they cause are not. A bad shock may destroy capital or cause other persistent declines in output. The value of ψ matters for climate risk and not for the expected path of damages. Nath et al. (2024) identify the effect of an annual temperature deviation on GDP per capita using local projections, and find that a temperature shock lowers GDP per capita for at least a decade. They recover the persistence of damages by indirect inference on a model of catch-up to the world frontier, and their estimate implies that the deviation from trend in (5) decays by 0.92 each year, so $\psi = 0.92^5 = 0.66$ over the five-year period of the model.

Estimated damages. The expected damages we estimate are large and fall disproportionately on countries with an already hot climate. Figure 4(a) maps the expected damage $\bar{z}_t^\ell$ at the end of the century. We predict that under this warming path, the median country will lose 13.0 percent of output, with losses of up to 28 percent across the tropics. We predict that some countries will gain significantly from climate change. At high latitudes we forecast some countries may gain as much as 29 percent of output. The population-weighted global loss is 14.2 percent of GDP.[23] For the median country the loss from climate change equals 12 years of growth under SSP3.

Risk is largest where expected losses are largest, because both depend on the local slope of the damage function. Figure 4(b) shows the standard deviation of a country's damage shocks, $\sqrt{\Sigma_t^{\ell\ell}}$, in 2095. For the median country we predict it will be 0.8 percent of GDP, compared to 0.6 percent

[23] Under the same emissions scenario Nath et al. (2024) project a loss of 16 percent for the world. The gap comes from the warming path, not the damage function. They cumulate damages from 2010 along a linear path to 4.3 degrees of warming for the median country, while we start in 2020 and trace the ensemble mean to 3.2 degrees. Burke et al. (2015) project a loss of 23 percent of world GDP per capita by 2100 under RCP 8.5. Their damage function is a permanent growth effect, so a year of warming lowers output permanently. Bilal and Känzig (2024) identify damages from global rather than local temperature and find a 12 percent fall in world GDP per degree of global warming, so output in 2100 is about 50 percent lower under 3 degrees of warming. While different in magnitude, all three estimates agree with ours on where damages fall, in countries that are hot and poor today.

Figure 4: Expected Damages and Climate Risk in 2095



Notes: Panel (a) maps the expected damage $\bar{z}_t^\ell$, the trend of (5), in 2095, in percent of GDP per capita relative to the no-warming path. Panel (b) maps $\sqrt{\Sigma_t^{\ell\ell}}$, the standard deviation of the five-year damage shock of (13), in 2095, in percent of GDP per capita.

under the current climate. This increase is driven by the fact that the slope of the damage function steepens as a country warms. This modest median effect hides the fact that for some countries these shocks will be quite large. The standard deviation is 1.5 percent of GDP in the hottest decile of countries and it reaches 3.0 percent in the most exposed country, a shock the size of a deep recession every five years.

Climate damages are weakly correlated across countries, and global warming is not predicted to significantly change these correlations. Figure 5(a) plots the distribution of the correlation of the five-year damage shock across all pairs of countries, in 2020 and in 2095. The mean correlation is 0.14 in 2020 and 0.14 in 2095. The share of country pairs with negatively correlated damages rises slightly from 35 to 37 percent, and the share with a correlation above 0.5 also increases from 13 to 14 percent. Figure 5(b) plots the mean correlation of both weather and climate damages by distance in 2095. The correlation of damages is 0.45 in the closest bin and decays quickly.

4.3 Migration elasticities and costs

Four objects govern how households' migration decisions respond to economic shocks: the dispersion of location tastes ν, the network preference $h(x)$, the bilateral residence costs $\boldsymbol{\kappa}$, and the elasticity λ of those costs to origin income. We estimate all four by the simulated method of moments.

The network preference. We parameterize the network preference as

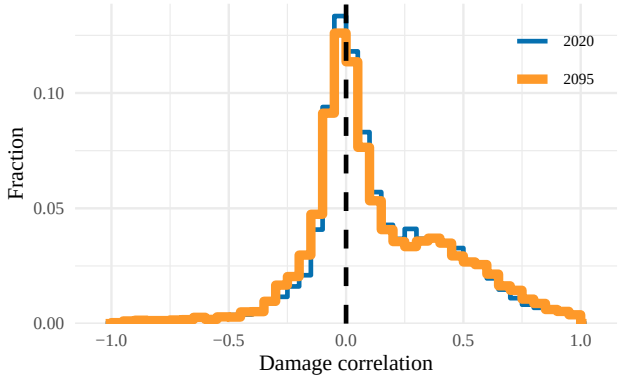
$$h(x) \;=\; \theta_1 \log\left(x + \theta_0\right), \tag{14}$$

where θ_1 governs the strength of the network preference and θ_0 the minimum diaspora size. The implied network elasticity is $(\theta_1/\nu)\, x/(x+\theta_0)$.[24] The elasticity is constant, θ_1/ν, for every corridor

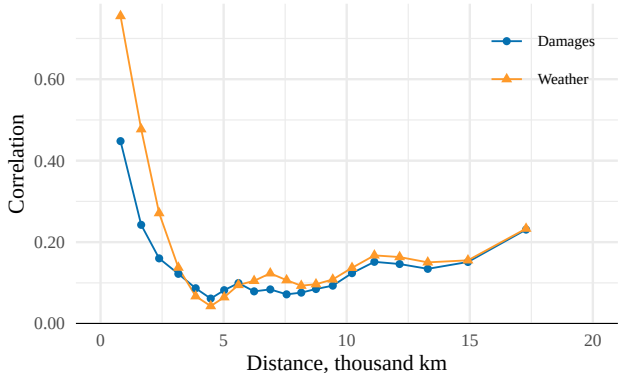
[24] Substituting $h'(x) = \theta_1/(x+\theta_0)$ into the network elasticity (12) gives $\varepsilon = (\theta_1/\nu)\,(x/(x+\theta_0))$.

Figure 5: The Correlation of Damages

(a) Distribution in 2020 and 2095



(b) By distance between countries



Notes: Both panels plot the correlation of the five-year damage shock, $\Sigma_t^{ij}/\sqrt{\Sigma_t^{ii}\Sigma_t^{jj}}$ from (13), over every pair of countries. Panel (a) plots the distribution of correlations in 2020 and in 2095, each as a fraction of the pairs in that year. Panel (b) is for 2095 and splits the pairs into 20 equal-count bins by the great-circle distance between the two countries' population-weighted centroids and plots, at each bin's mean distance, the mean correlation of damages and the mean correlation of weather across the pairs in the bin.

larger than θ_0 and falls to zero below θ_0. This implies that a doubling of the diaspora raises utility in a destination by the same amount independent of diaspora size. The parameter θ_0 bounds utility in a destination with no diaspora, $h(0) = \theta_1 \log \theta_0$.

Identification and estimation. The network preference θ_1 is identified from the persistence of migration within an o-d pair over time. When a shock raises migration from o to d, the larger diaspora makes d more attractive to households from o in the next period, and how much of the increase in the migrant stock persists is the network elasticity, θ_1/ν. A stronger network preference and a weaker taste dispersion move flows in the same way, so this data moment can pin down θ_1 only together with ν. To recover θ_1, we separately identify ν from the migration response to destination wages. The network floor parameter θ_0 only matters when the diaspora is very small, $x_t^{o,d} \approx \theta_0$, such that a few additional migrants change the value of the network. The floor is therefore identified from the persistence of the smallest corridors.

The taste dispersion ν is identified from the response of migration to destination wages. When the wage in d rises by one percent, the value of living there rises by one percent of consumption for every household, so how much the stock in d rises in response pins down $1/\nu$, the wage elasticity of migration. We measure this response within a corridor over time, with corridor and origin-year effects, so persistent differences in wages across destinations are absorbed and the variation is the change in a destination's wage over 1995 to 2015. We restrict the sample for this moment estimate to migration flows into the 45 richest destinations by 1995 wage. This ensures that the moment is identified from the data least affected by measurement error.[25]

[25] For most wealthy countries, the UN takes the migration stocks from population registers and annual surveys. For the other destinations it interpolates stocks between censuses. The response across all destinations is 0.07, against 0.32 in

The cost elasticity λ is identified from how fast emigration from poor origins increases with their economic growth. With $\lambda = 0$ the cost of leaving a poor origin is the same in 1995 as in 2015, and the growth of its population share abroad over the sample comes only from the wage gap and the network. A positive λ means that emigration costs fall with growth, so the share abroad starts lower and rises faster. Over this period, income grew fastest for poor origins and relatively slowly for rich origins. If the wage gap and the network were all that mattered for migration, the closing wage gap would have held back emigration from poor origins, and their share abroad would have grown less over the sample than it did in the data. How much faster it grew therefore pins down λ.

Given the four parameters $\{\theta_1, \theta_0, \nu, \lambda\}$, the model has one degree of freedom left per corridor, the residence cost. We recover it by inverting the gravity equation (11). For a corridor observed in t and $t+1$,

$$\kappa^{o,d} \;=\; \log \frac{w_t^d}{w_t^o} \;+\; \lambda \log g_t^o \;+\; \theta_1 \log \frac{x_t^{o,d} + \theta_0}{x_t^{o,o} + \theta_0} \;-\; \nu \log \frac{x_{t+1}^{o,d}}{x_{t+1}^{o,o}}, \tag{15}$$

where $\kappa^{o,o} = 0$ and g_t^o is the origin country's income relative to 2015.[26] Every transition identifies the cost, and we average the inversion over the 2005 to 2015 transitions, so that a shock to a single transition does not become a permanent cost, while a corridor that is empty in 2015 has an undefined cost and stays closed. The residence cost absorbs every feature of a corridor that is constant over time. The elasticities are therefore identified only from changes within a corridor over time, rather than from persistent differences across corridors.

We estimate θ_1, θ_0, λ, and ν by the simulated method of moments. The network moment is the coefficient on a corridor's lagged log odds against home, the network elasticity of Table 3. The floor moment is the same coefficient for corridors of fewer than 20 people. The wage moment is the coefficient on the destination log wage in the same regression, on flows into the 45 richest destinations. The cost moment is the share of the population of the poorest third of origins living abroad in 2005.[27]

For each candidate parameter vector we proceed in three steps. We recover the residence cost of every open corridor from (15). We simulate the model from the observed 1995 network with observed wages. We then compute the four moments on the simulated panel with the same regressions as in the data, so each moment is matched as a regression coefficient rather than read as a parameter directly. We exclude Syria, Venezuela, Ukraine from the estimation, since migration driven by war and the collapse of the state is outside the scope of the model. Appendix **??** describes how residence costs are averaged in the counterfactuals and how empty corridors are treated, and shows the results are not sensitive to either choice.

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the richest quarter.

[26] Each transition identifies the residence cost in year t, which declines with origin income according to (6). We add $\lambda \log g_t^o$ to express that cost in 2015 income units. Since the change in the cost between t and 2015 is exactly λ times observed income growth, the level A_0^o drops out of the growth ratio g_t^o. We can therefore pool the transition-specific estimates and average across them.

[27] The simulation starts from the observed 1995 network, so 1995 is matched exactly for every λ, so targeting 2005 is the same as targeting the growth in the share abroad.

Estimates. Table 3 reports the four parameter values and the moments that identify them, in the data and in the simulated model. We estimate a wage elasticity of $1/\nu = 0.25$. This is slightly below the elasticity of international migration to the ratio of destination to origin GDP per capita in Beine and Parsons (2015), who report 0.3 across all destinations and 0.5 for destinations in the global North. Two differences in the estimation account for the gap. First, their coefficient is identified from differences in origin income, since destination-year effects absorb the destination's wage, while ours is identified from the change in a destination's wage over time within a corridor. Second, part of the response that a cross-sectional regression attributes to income is driven by the migrant network, and our estimation separates the two.

Table 3: Estimated Parameters and Targeted Moments

Parameter	Value	Moment	Data	Model
International wage elasticity, $1/\nu$	0.25	Response to destination wage, richest destinations	0.32	0.32
Network preference, θ_1	2.94	Network elasticity	0.58	0.58
Network floor, θ_0	1.1×10^{-8}	Network elasticity for small corridors	0.58	0.58
Emigration cost elasticity, λ	0.24	Share abroad, poorest origins, 2005	4.00	4.00

We estimate a network elasticity of $\theta_1/\nu = 0.73$ for every corridor above the floor value θ_0. The network data moment in Table 3 is 0.58, below the elasticity, because the regression biases the results towards zero. With so few periods the fixed effect absorbs part of the persistence that they are meant to control for, and the coefficient on the lagged stock is therefore below the true elasticity. The network elasticity we recover is consistent with gravity regressions of bilateral migration on the diaspora stock reported in Beine et al. (2011); Beine and Parsons (2017) as well as our own IV estimates from Section 2. The network floor we recover is $\theta_0 = 1.1 \times 10^{-8}$. This implies that diaspora size starts to matter once there is more than one person in a destination for an origin 91 million people. We estimate an emigration cost elasticity of $\lambda = 0.24$. The elasticity of the probability of emigrating with respect to origin income we recover is $(\lambda - 1)/\nu = -0.19$.

Model validation. The estimated model matches two sets of untargeted moments in the data. First, the pattern of the model's recovered residence costs across corridors looks like reasonable migration costs. Table 4 projects the costs on bilateral frictions with origin and destination fixed effects. Countries farther apart have higher costs. Countries with a common official language, a common coloniser, or a past as one country, which proxy for similar language and institutions, have lower costs. A visa requirement raises the cost of a corridor by 0.79 log points, the same as a 55 percent lower wage.

Second, the model does a good job forecasting migration patterns over 2015 to 2025, the decade after the estimation sample. We simulate the model from the observed 2015 network to 2025 on the SSP3 wage path with the estimated parameters and residence costs, and compare it with the 2020 and 2025 vintages of the UN data, which are not used in the parameter estimation. As a benchmark we also re-estimate and simulate a version of the model without network preferences, $\theta_1 = 0$. Figure

Table 4: The Residence Costs and Bilateral Frictions

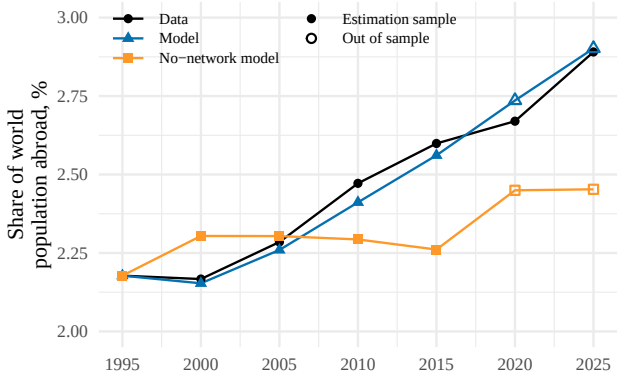
	(1)	(2)	(3)
Log distance	1.52 (0.05)	1.38 (0.06)	1.29 (0.06)
Contiguous	−1.07 (0.17)	−0.92 (0.17)	−0.83 (0.17)
Common official language		−0.93 (0.13)	−0.91 (0.13)
Common coloniser		−1.05 (0.18)	−0.87 (0.17)
Same country in the past		−0.60 (0.19)	−0.56 (0.18)
Visa required			0.79 (0.10)
Migration corridors	6,261	6,261	6,123
R^2	0.77	0.78	0.79

Notes: Each column is a regression of the residence cost $\kappa^{o,d}$ recovered by (15), in log wage points, on bilateral frictions, over the migration corridors open in 2015 in the data, with origin and destination fixed effects. Distance is the population-weighted bilateral distance. Distance, contiguity, common official language, common coloniser, and same country in the past are from the gravity database of Mayer and Zignago (2011). Visa required is the share of the years 1995, 2000, 2005, and 2010 in which nationals of the origin needed a visa to enter the destination, from the DEMIG (2015) visa database (Czaika et al., 2018), and column (3) drops the corridors it does not cover. Standard errors clustered by origin in parentheses.

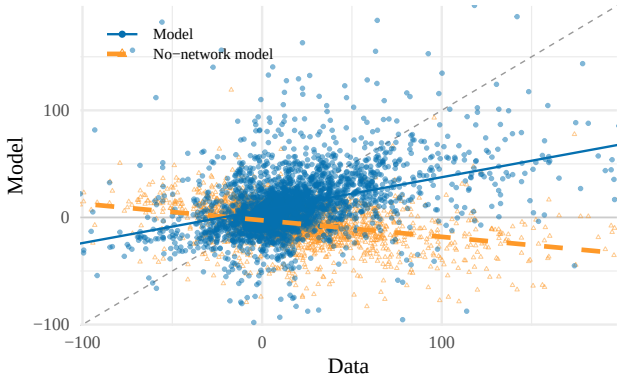
6(a) plots the share of the world's population living abroad over time. The baseline model predicts the share abroad almost exactly, 2.90 against 2.89 percent in 2025, while the no-network model misses the moment even in the estimation sample. Figure 6(b) plots the change in the share of each corridor, in the data and in the two versions of the model. The model's predictions are not perfect, with a correlation of 0.39 with the data, but the no-network model systematically misses changes across corridors, with a correlation of −0.31.

Figure 6: Out-of-Sample Fit, 2015 to 2025

(a) Share of the world's population abroad



(b) Change in the share of each corridor



Notes: Panel (a) plots the share of the world's population living abroad, in percent, in the UN data and in the model. Filled circles are the estimation sample, open circles are out of sample. The no-network model sets $\theta_1 = 0$ and re-estimates the remaining migration elasticities and residence costs. Panel (b) plots the percent change in the share of each corridor from 2015 to 2025 in the two versions of the model against the data, for the 2,904 corridors with at least a thousand migrants in 2015. The blue and orange lines are least-squares fits, and the grey dashed line is the 45-degree line.

5. Migrant Networks and Climate Losses

In this section, we show that migrant networks increase the welfare cost of climate change for most countries. This is because networks anchor households to their origin and to destinations where their diaspora is already large, which are places that experience substantial damages from warming. Networks also reduce the insurance value of migration because they tilt destination choices to locations whose climate shocks move together. We establish these results in three steps. We first define the effect of the migrant network by comparing climate losses with and without the influence of existing diasporas on migration decisions. We then quantify how this effect varies across countries and show that it is largest for poor origins facing high climate damages. Finally, we decompose the network effect into an anchoring channel, which operates through exposure to the warming trend, and a diversification channel, which operates through the covariance of climate shocks across destinations.

5.1 Measuring the effect of the migrant network on welfare losses from climate change

We measure the effect of the migrant network on climate losses by comparing the welfare cost of climate change across two economies. In our baseline economy, the residence cost of a destination falls with the size of the diaspora living there. In the no-network economy, households face the same wages and the same residence costs $\kappa^{o,d}$ as in the baseline economy, but the diaspora has no effect on them. The two economies start from the same initial migrant stocks but differ in how much and where households move, both before and in response to climate change. We measure the welfare cost of climate change within each economy and compare the two costs. The difference is the effect of the migrant network on climate losses.

Let $W^o \equiv V_0^o(\mathbf{x}_0^o, \mathbf{z}_0)$ be the expected lifetime utility (10) of an origin-o household at the initial network and climate. In the baseline economy, the welfare loss from climate change is

$$D^o \equiv (1-\beta)\left(W_\dagger^o - W^o\right), \tag{16}$$

where the dagger (†) denotes the no climate change benchmark, which holds the trend and the spatial covariance of the climate process (5) at their initial values, $\bar{\mathbf{z}}_t = \bar{\mathbf{z}}_0$ and $\mathbf{\Sigma}_t = \mathbf{\Sigma}_0$ for all t. We define climate losses the same way in the no-network economy, where $h \equiv 0$,

$$\tilde{D}^o \equiv (1-\beta)\left(\tilde{W}_\dagger^o - \tilde{W}^o\right), \tag{17}$$

where the tilde ($\sim$) denotes the no-network economy. The effect of the migrant network on the welfare loss from climate change is the difference between the two, $D^o - \tilde{D}^o$. This double difference nets out the cost of climate change that the two economies share and the value of the network itself in the absence of climate change, leaving only the interaction between the network and climate change.

With log utility, D^o and $\tilde{D}^o$ are exactly the consumption-equivalent welfare losses from climate

change in their respective economies. Each is the fraction of consumption that a household from origin o would give up in every location and every period to avoid living in a world with climate change.[28] The differecne between the two, $D^o - \tilde{D}^o$, is therefore the consumption equivalent welfase loss that is due to the migrant network. Because each loss is a proportion of consumption, it does not depend on the income level of the origin. Because each is a difference within an economy, it does not depend on the level of welfare in that economy. The losses can therefore be compared across origins and across economies.

We compute the welfare levels by solving each economy forward from the observed 2020 network through , along the growth path of Section 4. In the economies with climate change, the trend and the covariance of the climate process follow the projections of Section 4 through and are fixed at their values thereafter. In the economies without climate change, both stay at their 2020 values, so expected damages do not rise but weather shocks from the curent cliamte distribution still cause losses. We average over 10,000 Monte Carlo draws of the climate process. Additional details on the computational algorithm can be found in Appendix D.5.

Table 5 reports the network effect on climate losses. Column 1 reports the consumption-equivalent welfare loss from climate change in a no-migration economy, in which every household resides in its origin. Column 2 reports the loss in the baseline economy with the migrant network, and column 3 reports the loss in the no-network economy. Column 4 reports the network effect on climate losses, the difference between columns 2 and 3. Column 5 expresses the same effect in units of additional warming.[29] The difference between columns 1 and 3 is the potential value of migration as adaptation to climate change. The difference between columns 1 and 2 shows how much of that potential adaptation is realized in the baseline economy with the migrant network. Each row is a population-weighted mean over a group oforigins, for all origins and by climate exposure, GDP per capita, and region.

Table 5 shows that the migrant network increases climate losses on average, but that these effects are largest for households from hot and poor origin countries. Across all origins, the migrant network increases consumption-equivalent welfare losses from climate change by percentage points. This is percent of the average welfare loss from climate change and equivalent to an additional °C of warming by the end of the century. The network effect is heterogeneous across origins. For the hottest quartile of origins, the network raises losses by points, and for the coolest quartile it lowers them by points. For origins below the median GDP per capita today, the network raises losses by points, while for wealthier origins, the network effect is essentially zero.

The average losses reported in Table 5 mask substantial variation across countries, even within

[28] Suppose a household from origin o loses the fraction $1 - e^{-D^o}$ of its consumption in every location and every period. With log utility its flow utility falls by D^o. Because the fall is the same proportion in every location, its migration decisions are unchanged. Lifetime utility falls by $D^o/(1-\beta)$, which is the welfare loss from climate change, $W_\dagger^o - W^o$, by (16). The same argument applies to $\tilde{D}^o$ in the no-network economy.

[29] We convert consumption-equivalent losses to degrees of warming by re-solving the baseline economy under scaled warming paths. For a scaling factor s, every country's temperature path is $\bar{q}^d_{2020} + s\,(\bar{q}^d_t - \bar{q}^d_{2020})$, damages follow from the damage function of Section 4, and the average household's loss is a function of s. For each row in table 5, we find the scaling s at which the average household's loss changes by the estimated network effect. Column 5 reports $(s-1)$ times the projected warming from 2020 to .

Table 5: The Effect of Migrant Networks on Climate Losses

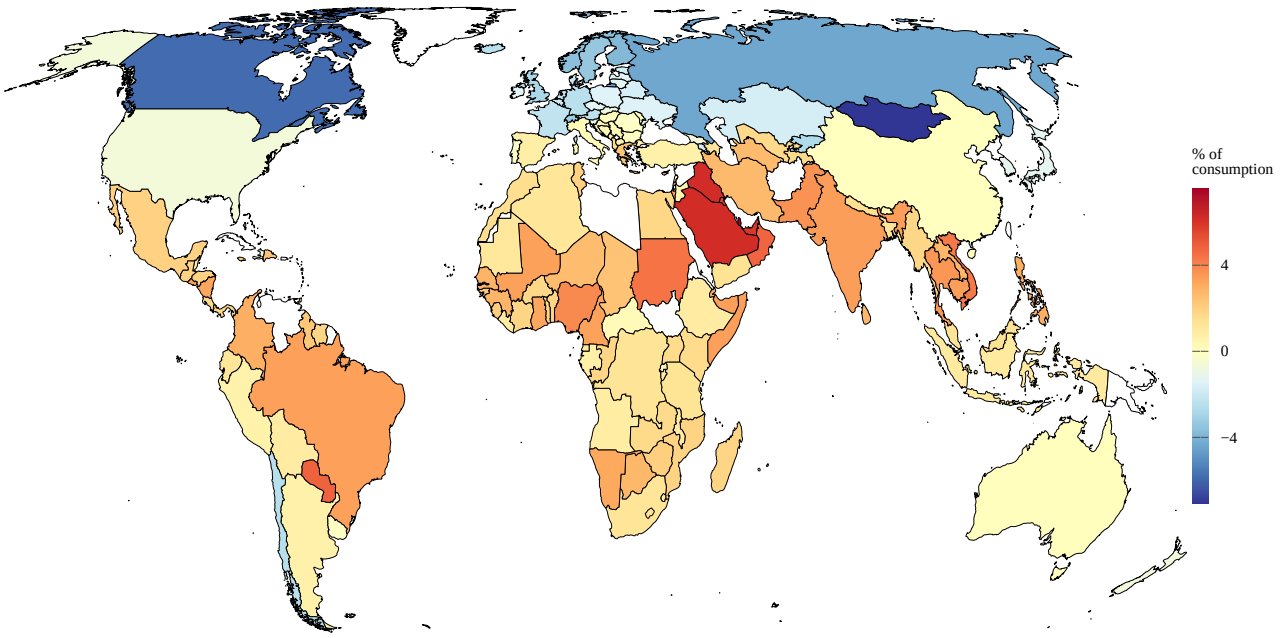
	Losses, % of consumption			Network effect	
	No migration	With network	Without network	pp of consumption	°C of warming
All origins	5.15	5.22	3.85	1.37	0.7
Panel A. By origin climate exposure					
Coolest quartile	1.94	1.95	2.42	−0.47	−0.3
Second quartile	3.62	3.96	3.45	0.52	0.3
Third quartile	7.32	7.17	4.57	2.61	1.4
Hottest quartile	8.95	8.85	5.33	3.52	1.8
Panel B. By origin GDP per capita					
Below median	7.71	7.62	4.98	2.64	1.4
Above median	2.54	2.76	2.69	0.07	0.0
Panel C. By region					
Africa	7.82	7.74	5.52	2.22	1.2
South Asia	8.47	8.44	5.23	3.21	1.7
MENA	6.49	6.26	3.71	2.55	1.4
East Asia	3.76	4.12	3.56	0.56	0.3
Latin America	5.56	5.30	3.12	2.18	1.2
Europe	−0.79	−0.74	0.72	−1.46	−0.9
North America	1.82	1.85	2.96	−1.11	−0.6

Notes: The first three columns are the lifetime welfare loss from climate change, in percent of consumption, in the economy with no migration, in the baseline economy with the migrant network, and in the economy without the migrant network affecting residence costs. The last two columns are the difference between the welfare losses in the baseline and the no-network economies, in percentage points and as the additional warming over 2020 to that would change the average household's loss by the same amount, with damages and migration re-solved. Each row is the population-weighted mean over the origins in that group.

a region, so Figure 7 maps the network effect by origin. The network contributes to larger welfare losses from climate change in countries currently home to percent of the world's population. The geography of the network effect mostly follows the geography of warming, with the largest increases across the Middle East, South Asia, Sub-Saharan Africa, and Southeast Asia. However, the network effect also depends on where a country's diaspora lives. For example, Latin America is expected to experience less extreme warming than much of Sub-Saharan Africa and therefore lower climate damages, but the two regions have similar network effects. Latin American diasporas are concentrated at home and in nearby destinations with similar climate exposure. For origins at high latitudes, such as Canada, Scandinavia, Russia, and Central Asia, the network contribtues to lower climate losses by keeping the diaspora in cold destinations that gain from warming.

In the baseline economy with the migrant network, migration is not an effective adaptation strategy for climate change. Columns 1 and 2 of Table 5 show that the average welfare loss in the no-migration economy, where every household is forced to live in its origin country forever, is in fact slightly smaller than in the baseline economy with the network. For the hottest quartile of origins, the two losses are and percent of lifetime consumption. Without the network, the same households and residence costs deliver a loss of percent, so the network effect is percent of the reduction in losses that migration could provide relative to the no-migration economy. Our baseline

Figure 7: The Effect of Migrant Networks on Climate Losses



Notes: The network effect on climate losses, $D^o - \tilde{D}^o$ in (**??**), in percentage points of permanent consumption, by origin country. Lifetime losses are evaluated in 2020 under the projected climate path, discounted at percent a year, and averaged over the 10,000 draws of the climate process. Red is where the network raises climate losses and blue where it lowers them.

economy therefore resembles the no-migration counterfactuals of Desmet and Rossi-Hansberg (2015), Desmet et al. (2021), and Bilal and Rossi-Hansberg (2023), which find welfare losses from climate change several times larger than in their baseline economies with migration. Here, however, the migrant network endogenously keeps households in exposed places.

5.2 Understanding the Effect of the Network in Climate Losses

The value of a location reflects both the expected future path and the variability of the climate. Expanding W_0^o, the ex-ante value of an origin-o household, to second order in the climate shocks around the expected climate path, $\bar{\mathbf{z}}$, decomposes the value of a location into a trend and risk term:

$$W_0^o \;\approx\; V_0^o(\mathbf{x}_0^o, \bar{\mathbf{z}}) \;+\; \underbrace{\tfrac{1}{2}\operatorname{tr}\left(\nabla_z^2 V_0^o \cdot \Sigma\right)}_{\equiv\, \Omega^o}. \tag{18}$$

The first-order term of the expansion vanishes because by definition climate shocks are mean zero. The trend term, V_0^o, is the household's welfare if climate change follows its projected path exactly. The risk term Ω^o adjusts this value for the shocks around that path, scaling their variance by the curvature of the value function. With log utility, the flow utility is linear in the log climate shock. Therefore, a household that does not migrate is risk neutral in the shock. The risk matters only because households choose where to migrate to after seeing the shock. This makes the risk term

Ω^o an option value. The value of moving depends on how differently destinations are hit because moving is valuable only when one place a household might choose does better than another. Hence, this option value is always nonnegative: it rises when options are risky, falls when they move together, and is zero when every option is exposed the same so that there is nowhere safe to move.

We therefore decompose the network's effect on climate losses into a trend term and a variability term. We separate the two effects because they are economically distinct. The first would be present even if the climate followed its projected path exactly, and the second arises from the variability of realized climate around that path. Because the expansion in (18) applies to each of the four values in (**??**), we can isolate the interaction between the network and each moment. Since the welfare losses are, to second order, the sum of the trend and variability terms, the network effect is the sum of the difference for each term:

$$D^o - \tilde{D}^o \;\approx\; (1-\beta)\Big[\underbrace{\Delta V^o - \Delta \tilde{V}^o}_{\text{anchoring}} + \underbrace{\Delta \Omega^o - \Delta \tilde{\Omega}^o}_{\text{diversification}}\Big] \tag{19}$$

We call the losses from the trend term the anchoring channel, and the losses from the risk term the diversification channel.

The network affects both terms of the value of a location by changing where households choose to live. With network preferences additively separable from consumption, we have that:[30]

$$\pi_t^{o,d} \propto \tilde{\pi}_t^{o,d}\, e^{h\left(x_t^{o,d}\right)/\nu} \tag{20}$$

where $\tilde{\pi}_t^{o,d}$ represents migration choice probabilities in an economy without network preferences. Network preferences tilt migration flows toward destinations with larger diasporas. The network therefore changes the probability that a household lives in a particular destination in the future, and this can change its exposure to the climate trend. The network also changes the destinations a household would move to after a shock, and the value of being able to move.

The network amplifies trend damages if it distorts migration decisions towards more climate exposed destinations. Applying the decomposition for the choice probabilities above, we can express the anchoring term as

$$\Delta V^o - \Delta \tilde{V}^o \;=\; \sum_t \beta^t \, \frac{\mathrm{Cov}_{\tilde{\pi}}\left(e^{h(x_t^{o,d})/\nu},\; \Delta \log \bar{z}_t^d\right)}{\mathbb{E}_{\tilde{\pi}}\left[e^{h(x_t^{o,k})/\nu}\right]} \tag{21}$$

A formal derivation can be found in Appendix C.5, but the key steps are straightforward. First, logit with an additive destination shifter implies an exponential tilting of choice probabilities. Second, by the envelope theorem, ΔV^o is, to first order, an expectation of trend damages $\Delta \log \bar{z}^d$ under the choice probabilities π. Combining these observations, the network changes ΔV^o only by reweighting destinations d by the factor $e^{h(x^{o,d})/\nu}$, which yields the covariance representation above.

[30] Full derivation is in Appendix C.5

A sufficient statistic is the sign of covariance of diaspora shares and trend losses. The migrant network enters the household value function like a taste shifter $h(x^{o,d})$. In this multinomial logit setting, the network reweights the baseline choice probabilities $\tilde{\pi}^{o,d}$ into $\pi^{o,d} \propto \tilde{\pi}^{o,d}\, e^{h(x^{o,d})/\nu}$, pulling households toward destinations where the migrant stock is large. When the destinations with a large diaspora are also facing large trend damages, then the covariance is positive and the network raises the welfare cost of climate change. On the other hand, if the network is located in locations that gain from warming, then the covariance is negative and the network mitigates the welfare cost of climate change.

Our quantification shows that the network raises trend damages by keeping households at home and by directing those who leave toward losing destinations. With the network, 95% of households remain in their origin, compared with 40% in the no-network economy. By staying at home, these households face trend losses of 12.3% of consumption, compared with 8.8% at the locations they would choose without network preferences. The 5% of households who emigrate follow the network into a narrow set of destinations whose climates resemble home's. Figure 8a plots the diaspora weighted trend damages as a percent of 2095 GDP by the origin country's damages with and without the network. The network steepens the positive correlation between the origin and diaspora damages by concentrating the diaspora in fewer geographically close destinations. The Herfindahl–Hirschman Index (HHI) of the diaspora with network preferences is 0.19, compared to an HHI of 0.04 without the network. For this channel, the network amplifies losses for countries in Africa and the MENA region, and mitigates losses for former Soviet countries which have their diasporas in other cold countries.

The diversification channel works through the option value to move, and the network reduces this value when it is concentrated in co-moving places. Applying the decomposition of the choice probabilities above to pairs of destinations, we can express the diversification term as

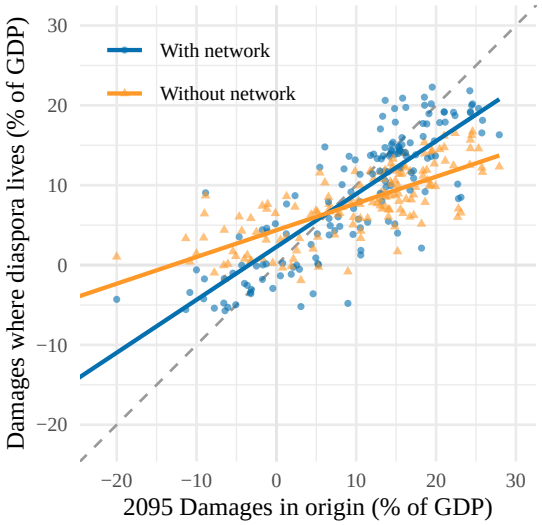
$$\Delta\Omega^{o} - \Delta\tilde{\Omega}^{o} \;=\; \sum_{t} \beta^{t}\, \frac{1}{2\nu}\, \frac{\mathrm{Cov}_{\tilde{\pi}\tilde{\pi}}\left(e^{(h(x_t^{o,i})+h(x_t^{o,j}))/\nu},\; \Delta\Sigma_t^{ii} - \Delta\Sigma_t^{ij}\right)}{\mathbb{E}_{\tilde{\pi}}\left[e^{h(x_t^{o,i})/\nu}\right]\, \mathbb{E}_{\tilde{\pi}}\left[e^{h(x_t^{o,j})/\nu}\right]},$$

where the covariance is taken over ordered pairs of destinations (i, j) weighted by $\tilde{\pi}$, and $\Delta\Sigma^{ii}$ and $\Delta\Sigma^{ij}$ are the changes under climate change in the variance of destination i's shock and in its covariance with destination j's. A formal derivation can be found in Appendix C.5, but the key steps are straightforward. First, the exponential tilting of choice probabilities (20) applies to each member of a pair, so the network reweights the pair weights $\tilde{\pi}^{o,i}\tilde{\pi}^{o,j}$ by the product factor $e^{(h(x^{o,i})+h(x^{o,j}))/\nu}$. Second, the option value is an expectation over pairs of destinations, $\Omega^{o} = \frac{1}{2\nu} E_{\tilde{\pi}\tilde{\pi}}\left[\Sigma^{ii} - \Sigma^{ij}\right]$, in which each destination contributes the variance of its own shock net of the shock's co-movement with the alternative. Combining these observations, the network changes the option value only by reweighting destination pairs (i, j), which yields the covariance representation above.

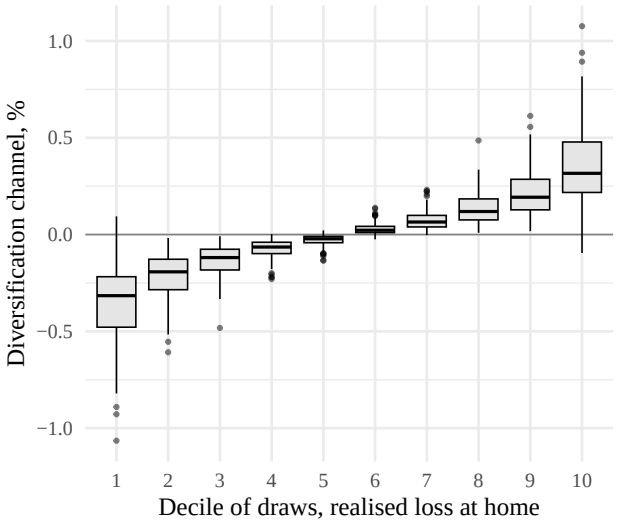
The key moment driving the diversification channel is the covariance between the size of stocks in a pair of destinations and the co-movement of the pair's shocks. The network reweights the

Figure 8: Decomposing the Role of the Network in Climate Losses

(a) Anchoring Channel



(b) Diversification Channel



Note: In Figure 8a, each dot is an origin country. The x-axis plots the climate damages from the warming trend as a percent of 2095 GDP per capita, and the y-axis plots the diaspora-weighted damages of the destinations where the diaspora lives. Orange represents the diaspora in 2095 for the economy without network preferences, and blue represents the diaspora in 2095 for the economy with network preferences. The lines are the least squares fit lines. Figure 8b plots the diversification channel, $\Delta\Omega^o - \Delta\tilde{\Omega}^o$, across origin countries. For each origin, we rank 10,000 climate draws by the realized loss at home, group them into deciles, and report the distribution of the diversification channel within each decile.

baseline pair weights in proportion to their stocks, so the pairs that matter for the option value are those where the migrant stocks are large. A pair of destinations provides insurance when its climate shocks are negatively correlated. Migration is the option to move to a good draw, and that option is worth most across weakly correlated places. The network reweighting erodes the option value in two ways. It concentrates weight on fewer destinations, and the destination pairs that keep weight are similar places whose shocks co-move. A diaspora clustered in similar places offers nowhere to move. When the network is concentrated in destination pairs whose shocks co-move, the covariance term is positive, so the network raises climate losses through lower diversification. When the network places more weight on destination pairs with offsetting shocks, the covariance term is negative, increasing the option value of migration.

Our quantification shows that the diversification channel is close to zero in expectation but large in the tail of climate draws. The expected option value is small to begin with. With log utility, this channel only matters through the ability to re-sort after the shock. However, the shocks themselves are small, with a standard deviation of roughly 0.8% of GDP in each period, so Ω^o is modest for every origin. The network then removes most of the option that remains. With the network, 95% of households stay at the origin and never use the migration option. The diversification channel becomes important in bad climate realizations. Figure 8b shows the distribution of realized losses across climate draws after removing the anchoring channel. When

the origin gets a bad draw, some destinations are still doing relatively well. Without the network, households are more able to move toward those destinations. With the network, they are more likely to stay at home or move to destinations experiencing similar shocks. In the worst 5% of climate draws, the consumption-equivalent loss from climate shocks is twice as large with the network as without it.

6. Counterfactual Migration Policies

The results in Section 5 suggest a role for migration policy in climate adaptation. The migrant networks in place as climate damages increase will shape who is able to leave the most exposed regions and where they move. While policymakers do not directly choose these networks, immigration policy affects how they develop by changing access to particular destinations. In this section, we quantify how migrant networks respond to these policy choices and how the resulting changes in network structure affect the welfare costs of climate change.

We consider two policy experiments to study how immigration policy affects climate adaptation through migrant networks. In the first, Europe and the United States close their borders from 2020 to 2060 and then reopen them. Despite reopening the borders during the worst decades of climate change, the lost networks from the temporary closure worsen climate damages. This loss falls on countries whose networks would have facilitated emigration. In the second experiment, ten climate-spared destinations extend climate visas to ten poor countries most exposed to warming. We show that such a policy can reduce the welfare loss of climate change for these countries. The migrant network plays a key role in this policy: the visas admit migrants who make the destination more attractive for the next round of migrants.

6.1 Temporary tightening of migration policy

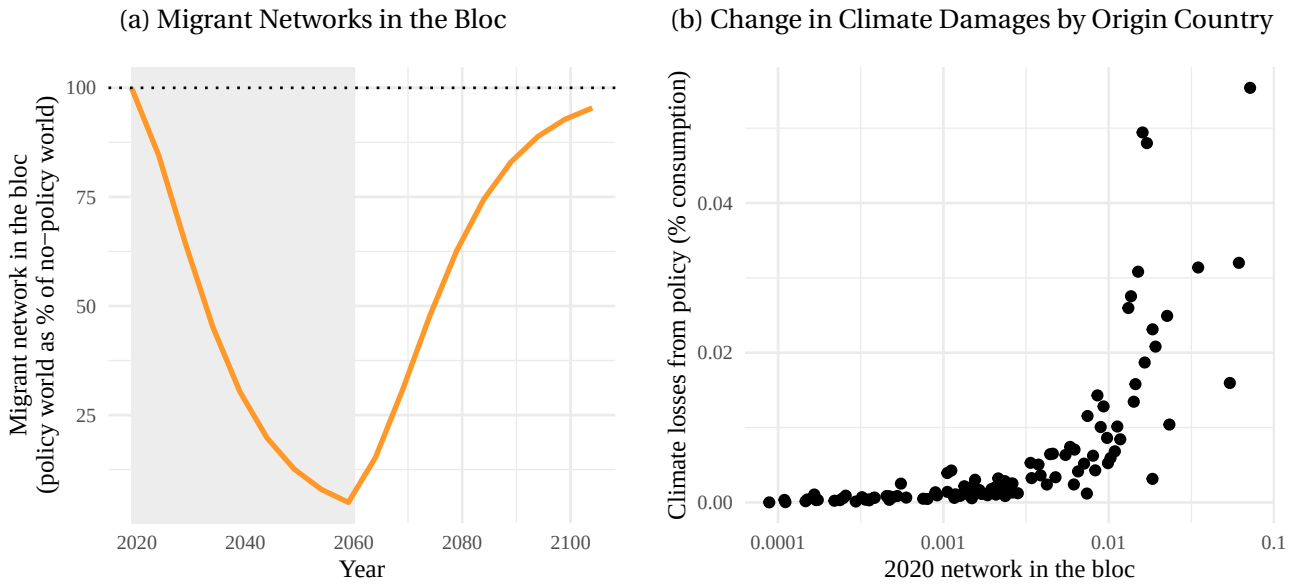
The first experiment tightens the borders of the EU, the UK, and the US against the rest of the world for forty years, while allowing migration within the bloc. We use this counterfactual to ask whether migration policies that are not explicitly designed to address climate change can still affect climate adaptation, and who bears this cost. The experiment is motivated by historical precedent. In 1924, the United States introduced restrictions that greatly reduced immigration admissions. This system remained in place until 1965 (Abramitzky and Boustan, 2017). Our experiment quantifies the costs of a similarly prolonged migration restriction in the context of climate change.

We implement the tightening of migration policy by increasing residence costs for households from outside the bloc who reside in the US, the UK, or the twenty-six EU member countries in our sample. Beginning in 2020, we increase these costs each period, reaching their maximum just before the policy ends in 2060. We calibrate the increases so that, by 2060, migrant stocks in the bloc from the rest of the world fall to 5 percent of their no-policy levels. Higher residence costs reduce new arrivals and gradually reduce existing migrant stocks as households return to their origin countries or relocate elsewhere. Figure 9a shows the decline in the bloc's migrant networks during the four

decades of tightening. We leave residence costs within the bloc and for migration from the bloc to the rest of the world unchanged. After 2060, we restore all residence costs to their original levels.

The policy increases the welfare costs of climate change for countries excluded from the bloc. We measure the impact as the difference between the countries' welfare with and without climate change, compared across the policy and no-policy worlds. Therefore, the number isolates the impact of the tightened policy on climate damages, without confounding it with the impact of the policy restricting migration to richer countries. By this measure, the temporary policy decreases consumption equivalent welfare by 0.010 percent, increasing the climate damages by 0.4 percent.

Figure 9: Impact of the Temporary Tightening of Migration Policy



Notes: Panel (a) shows migrant stocks in the bloc from non-bloc origins as a percentage of their no-policy levels. The shaded area marks the tightening period, during which residence costs increase from 2020 until their removal in 2060. Panel (b) plots the increase in climate damages from the temporary policy for each climate-affected origin, expressed as a percentage of permanent consumption, against its 2020 migrant stock in the bloc as a share of its population (log scale).

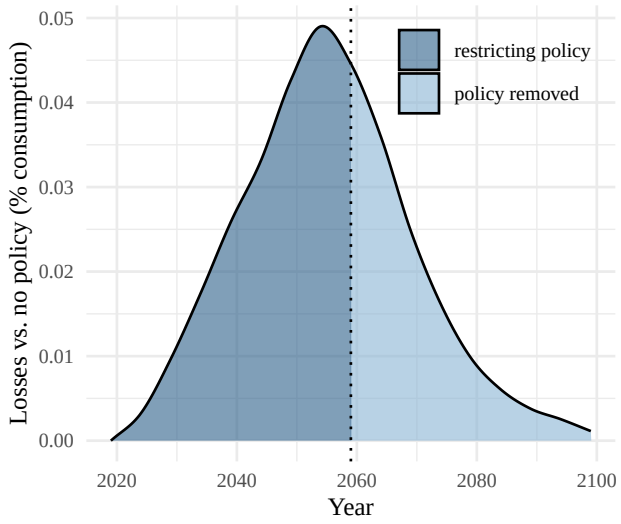
The effects are heterogeneous across countries and depend on the size of their existing migrant networks in the bloc. For example, Türkiye loses 0.030 percent of permanent consumption, representing 5 percent of its climate burden. In contrast, the policy has no effect on countries such as Djibouti, which initially had only 0.01 percent of its population in the bloc. Figure 9b plots the impact of the tightened migration policy against the country's initial population share in the bloc. For most countries, the policy has no effect. Losses emerge only for countries with more than 1 percent of their population in the bloc and increase sharply with the size of their initial migrant communities.[31]

[31]Two origin countries benefit from the closure: Albania and Georgia. Both have their largest migrant communities in bloc destinations that experience substantial climate damage: Albania in Greece and Italy, and Georgia in Cyprus and Greece. Without the closure, existing migrant networks would direct migration to these destinations, where climate change reduces welfare relative to remaining at home. By restricting this migration, the policy increases welfare in both origin countries.

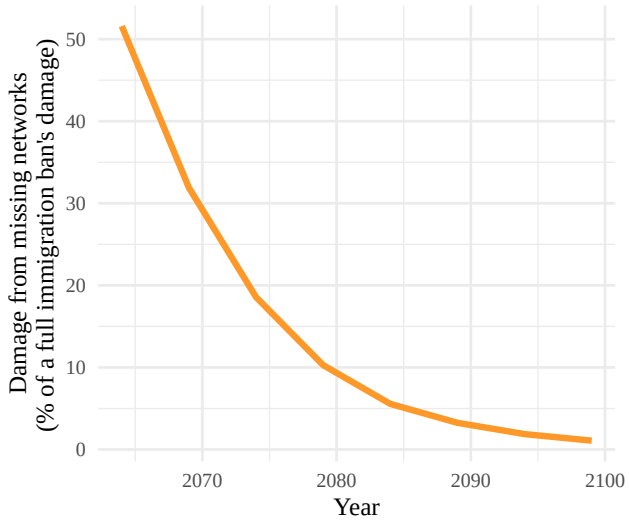
The costs of the tightened migration policy persist after its removal. Figure 10a plots the damage from the tightened policy in each period. Damages increase throughout the four decades of tightening as migration restrictions intensify and climate change worsens, reaching their maximum just before the policy ends in 2060. After we remove the restrictions, damages decline gradually but remain substantial into the 2080s. Although the policy ends before the most severe decades of climate change, 41 percent of its total damages occur after 2060.

Figure 10: Damages During and After the Temporary Tightening

(a) Damages from the Temporary Policy, by Year



(b) Post-Reopening Damages vs. Immigration Ban



Notes: Panel (a) shows the increase in climate damages from the temporary tightening relative to the no-policy world, expressed as a percentage of consumption per period and aggregated across climate-affected origins outside the bloc using population weights. The dotted line marks the policy's removal in 2060. Panel (b) compares damages from the temporary tightening, removed in 2060, with those from a permanent immigration ban beginning in 2060, over 2065–2100. Both are measured relative to the same no-policy world. The curve shows the temporary policy's damages as a percentage of the permanent ban's damages in each period. Damage shares reported in the text are discounted, while the plotted series are undiscounted.

The damages persist after reopening because reopening restores the migration costs to their original levels but does not restore the migrant networks that would otherwise facilitate migration into the bloc. The right half of Figure 9a shows that a decade after reopening, migrant stocks in the bloc remain below 31 percent of their no-policy levels. By the end of the century, they recover to 93 percent, but remain below their no-policy levels. These smaller networks continue to restrict migration during the most severe decades of climate change, leaving more households in climate-damaged origin countries even after the policy ends.

To quantify the costs of these reduced networks, we run an additional counterfactual where the bloc keeps its borders open until 2060 and then bans immigration for the rest of the century. From 2065 to 2100, both counterfactuals face the same climate conditions but differ in their migration restrictions and existing networks. The first has open borders but depleted migrant networks, while the second has closed borders but initially retains its existing networks. We compare the

damages from the temporary tightening with those from the immigration ban to measure the costs of depleted networks relative to a complete restriction on immigration. Figure 10b shows this ratio for each period. In the first years after reopening, the temporary policy generates 52 percent of the damages from the immigration ban. This share declines as migrant networks recover. Over the full period, the damages from the temporary policy represent 13 percent of those from the immigration ban, demonstrating that temporary migration restrictions can impose substantial costs long after their removal by reducing migrant networks.

6.2 Climate visa issuance

The second experiment studies climate visa issuance. Under this policy, the destinations that climate change spares offer dedicated visa slots to the countries that it damages most. The case for such a policy comes from the results in Section 5. The origins facing the largest climate damages in the poorest regions of the world are those without diaspora communities in the destinations that warming spares. Therefore, a policy that lowers the cost of migration by creating these pathways acts directly on that constraint.

Examples of such climate visa policies already exist. In 2023, Australia signed a treaty with the Pacific island of Tuvalu granting 280 Tuvaluans per year permanent residence in Australia. With a population of 11,000, this comes to 2.5 percent of the population annually. The treaty states that the reason for this pathway is rising sea levels from climate change, which are expected to submerge most of the country in the coming decades. These visas are in addition to other migration pathways that exist for Tuvaluans into Australia. Migrants under the climate visa are chosen by lottery from an open ballot (Department of Foreign Affairs and Trade, Australian Government, 2024). Demand in the first year revealed that the policy had relaxed a binding constraint. More than a third of Tuvalu's population entered the first ballot, and by its close over 80 had applied (Agence France-Presse, 2025). Our experiment asks what this instrument does at the scale of the climate problem, for regions with millions of people.

We run a similar policy in our model. Ten destinations that climate change spares offer climate visas to ten of the poorest countries it damages most, so that each treated origin holds a visa pathway to each of the ten destinations. The destinations are the largest climate winners in our sample. The targeted origin countries are the ten poorest countries with the largest climate damages, ranging from 3.5 percent to 5.1 percent of permanent consumption.[32] The model has no separate visa channel, so we implement the policy through the residence costs, κ. Specifically, we set costs on the visa corridors so that in the policy's first period, each origin sends approximately 500 additional migrants per year into the destination bloc as a whole, roughly 50 per year to each of its ten destinations.[33] The policy is small by design. Sudan's pathway to Iceland, for instance, admits

[32]The ten targeted origin countries are Benin, Burkina Faso, Côte d'Ivoire, Ghana, Guinea, Mali, Mauritania, Niger, Sudan, and Chad. The ten targeted climate-spared destination countries are Austria, Canada, Switzerland, Estonia, Finland, Iceland, Lithuania, Norway, Russia, and Sweden.

[33]The policy sets a uniform rate: each origin's guaranteed increment is 0.003 percent of its population per year, divided across its ten corridors. The 500 is the mean across origins but the policy scales with the origin countries' population,

approximately hundred additional people per year, and Mauritania's about ten.

The network amplifies the migration response to the policy. The climate visas issued build communities in the destinations, and the communities lower the cost of following for future migrants through other channels outside of the climate visas. Although the climate visas guarantee immigration for 0.003 percent of the origin country's population, over the century, the policy relocates approximately 2 percent of the treated origins' population into the destinations that climate change spares. We show the value of this migration response for climate adaptation in Table 6.

Table 6: Impact of Climate Visa Policy on Ten Treated Countries

	Change in climate damages vs. no-policy world	
	Consumption-equivalent welfare (%)	Share of no-policy world climate damages
Climate visa policy in 2020	0.149	3.5%
Role of the endogenous network:		
visa policy only	0.001	0.0%
+ endogenous network	0.148	3.5%

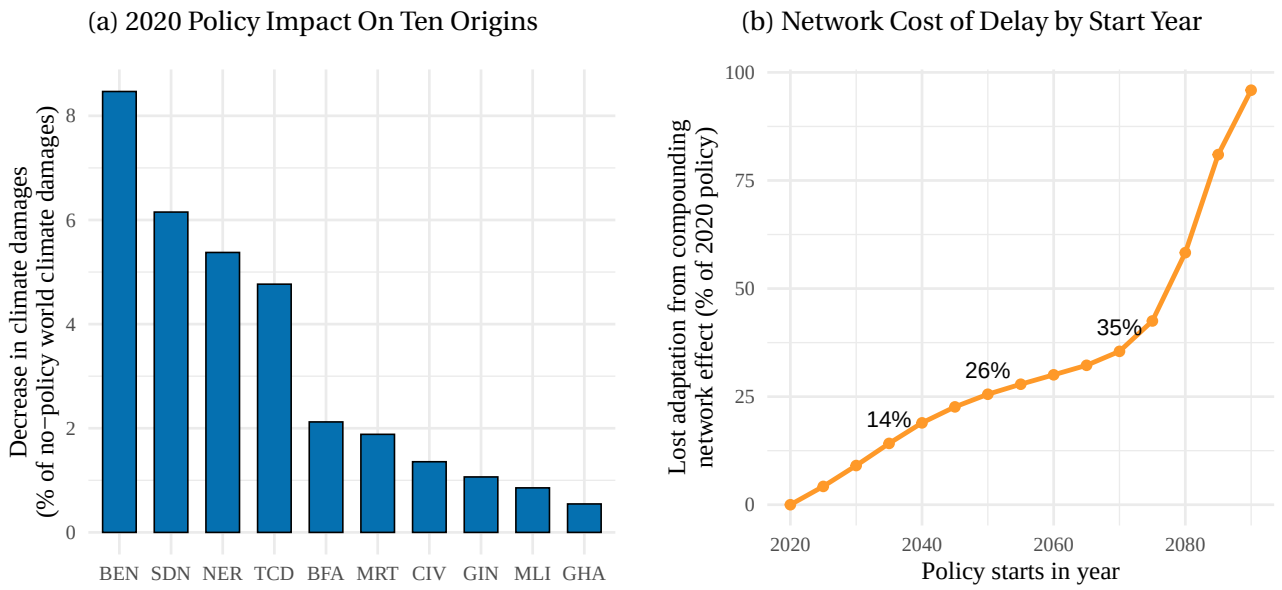
Notes: The table reports the decrease in climate damages relative to the no-policy world. The first column reports the reduction in the welfare cost of climate change as a percentage of permanent consumption. The second expresses this reduction as a share of the treated origins' climate damages without the policy, equivalent to 4.25 percent of permanent consumption. The "visa policy only" row holds migrant networks fixed at their 2020 levels, isolating the policy's effect from the network feedback effect. The "+ endogenous network" row reports the additional impact of the endogenous network. All entries are population-weighted across the ten treated origins.

The migration response to the policy reduces climate damages for the ten treated countries. As before, we isolate the effect of climate visas on climate damages by comparing the welfare effects of climate change with and without the policy, separating the policy's effect on climate adaptation from the welfare gains associated with migration from poorer to richer countries. The policy removes damages worth 0.15 percent of permanent consumption for the treated group, representing 3.5 percent of the damages that climate change imposes on them (Table 6). The impact varies widely across the treated countries. Figure 11a shows the reduction in each origin's climate damages as a share of its damages without the policy. The policy reduces Benin's climate damages by 8.5 percent, compared with 0.5 percent for Ghana. Differences in initial migrant networks help explain this variation. Benin's initial diaspora share in the destination bloc is one-sixteenth of Ghana's. Climate visas therefore create new migration opportunities for Benin, where few migrants previously resided in the bloc. In contrast, Ghana already has established migration corridors and gains less from the additional migration opportunities provided by the policy.

Because the endogenous network amplifies the migration response to the policy, removing that channel decreases the adaptation value of the policy. To isolate the impact of the policy

from roughly 90 additional admissions per year for Mauritania to 1,050 for Sudan.

Figure 11: Impact of Climate Visa Policy



Notes: Panel (a) shows the reduction in climate damages from the 2020 policy for each treated origin, expressed as a percentage of its climate damages without the policy. Panel (b) shows, for each start year, the percentage of the 2020 policy's adaptation benefits forgone by delaying implementation, comparing both policies over the same remaining years along deterministic trend paths. We weight origins by population when aggregating. Table 7 provides the corresponding decomposition of the costs of delay.

independent of the network amplifier, we run the climate visa policy in a model where we hold the network at its 2020 value throughout the transition. Agents make migration decisions as if the network stays at its 2020 value. This counterfactual removes the feedback of migrants increasing the attractiveness of a destination and inducing more migration. In this counterfactual world, the policy removes 0.001 percent of climate damages in permanent consumption, less than 1 percent of the full effect (Table 6). The policy on its own guarantees admissions for 500 migrants from each origin country per year, and the counterfactual exercise shows that these are too few to change the impacts of climate change. The value of the policy comes from its interaction with the endogenous network. Section 5 shows that, without this policy, the network alone would increase climate damages for these countries. With the policy, however, the climate visas admit the first migrants, these migrants make the destinations attractive for future migrants, and the effect compounds into the 3.5 percent of climate damages that the policy removes.

Since the impacts of climate change are backloaded, one could argue for introducing the policy later in the century. Table 7 evaluates this argument by introducing the same policy in 2035, 2050, and 2070. Delay is costly at every horizon. The 2020 policy removes climate damages worth 0.15 percent of permanent consumption. The same policy started in 2035 removes 0.089 percent, and a late launch in 2070 removes only 0.019 percent. Waiting 50 years costs nearly 90 percent of the adaptation value of the policy.

Policy delay is costly for two reasons. The first is that prior to issuing climate visas, people who would have migrated remain in the damaged origins, absorbing the losses the policy would have

Table 7: Cost of Delay in Climate Visa Policy

	Decrease in climate damages (% ce)	Loss to later start (% ce)	Accumulated damages before policy begins (% ce)	Lost adaptation from compounding network effect
2020	0.149			
2035	0.089	0.060	0.002	39%
2050	0.047	0.101	0.036	58%
2070	0.019	0.130	0.099	62%

Notes: Each start date introduces the same climate visa policy. The first column reports the reduction in climate damages relative to the no-policy world, expressed as a percentage of permanent consumption. The second column reports the total cost of delay, measured as the difference in climate damages avoided by the 2020 policy and the policy introduced in the indicated year. The third column measures the portion of this cost incurred before the delayed policy begins. The final column measures the cost of delayed network formation. For each start date, we calculate the reduction in climate damages under both policies over the years following the delayed launch and express the difference as a percentage of the reduction achieved by the 2020 policy over those same years. All calculations use discounted utility flows along the deterministic trend path and are population-weighted across the ten treated origins.

prevented. The third column of Table 7 measures it as the damages the 2020 policy removes in the years before the later policy begins. These accumulated damages grow with the start date, and they grow faster later in the century, when the climate burden is largest.

The second reason is that a later start date limits the compounding network effect. The policy's value comes from the network that the visas build. A policy that starts in 2070 gives the network less time to build, and it faces the worst of climate change with communities still near the beginning of their growth. The fourth column of Table 7 measures this by comparing the two policies over the same calendar years, after the later one has started. A policy that starts in 2035 delivers 39 percent less protection than the 2020 treaty over those same years, and one introduced in 2070, 62 percent less.

Figure 11b shows how the cost of delay from the network channel varies with the policy's start date. These costs increase sharply during the first two decades of delay. A policy that starts in the 2040s delivers only half the protection that the 2020 policy provides over the same remaining years. The costs then increase more slowly through mid-century as two effects offset each other. A later start gives migrant networks less time to develop, but also shifts the comparison window forward, excluding years in which the 2020 policy already benefits from its established networks. After 2075, the costs increase sharply again because the later policy has too little time to build migrant networks and benefit from the additional migration they facilitate. A policy that starts in the 2080s delivers less than 10 percent of the protection that the 2020 policy provides over the same remaining years.

7. Conclusion

Whether migration will help people adapt to climate change depends not only on how many move but on where they go. Our estimates show that migrant networks, which play an important role in determining migration destinations, raise the welfare cost of climate change for most origin

countries. Larger diasporas draw larger subsequent flows, and diasporas live in climates similar to their origins, so the network steers new migrants toward destinations that face the same changing climate as where they came from. The network also offers little insurance against climate shocks, because a bad year at the origin is likely to be a bad year in the diaspora's destinations as well. The network amplifies losses from climate change for for the hottest and poorest countries, who have geographically closer diasporas, and the smallest networks in countries that will be harmed the least by global warming.

The same force that raises the cost of climate change makes migration policy a more effective tool for climate adaptation. Because new migrants follow the diaspora, and the diaspora is the accumulation of past migrants, networks amplify the effects of immigration policy on migration flows. At the parameters we estimate, a temporary policy does not have permanent effects, but its effects persist for decades after the policy itself has ended. A small climate visa program can therefore reduce climate losses substantially. The IPCC recognizes migration as an adaptation to climate change (Cissé et al., 2022), the Global Compact for Migration asks states to open regular pathways for people displaced by it (United Nations General Assembly, 2018), and a few governments have begun to do so, but no framework exists for choosing which origins to admit, to which destinations, and how soon. Our framework provides a sufficient statistic that allows policymakers to compare the reduction in climate losses across potential visa recipients. We forecast that the gain from a visa program would be largest when the connected origin is expected to experience worse impacts from climate change, when origin and designation climate shocks are uncorrelated, and when the initial origin diaspora in the destination is small.

Our results point to two directions for future research. First, understanding how networks respond to climate shocks requires more frequent and more detailed data on international migration than statistical agencies currently collect. Migrant stocks observed at a five year frequency show that migrant networks are adapting slowly to global warming, but they cannot show whether the network facilitates short run migration after a large climate shock such as a flood. Bilateral flows at an annual frequency, with information on return and onward moves, would help researchers better understand the value of the diaspora as insurance after a shock. Second, many of the climate shocks that drive migration are extreme events rather than changes in average temperature. Hurricanes, droughts, and floods displace people (Hornbeck, 2012; Groeger and Zylberberg, 2016; Mahajan and Yang, 2020; Aron-Dine, 2025). The insurance value of a network may therefore differ when damages come from extreme events rather than from gradual warming. Estimating a damage function for such climate shocks as well as its spatial covariance remains an open problem.

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Supplemental Appendix

A Additional Tables and Figures **54**

A.1 Additional Evidence on Flows–Stocks Relationship 54

A.2 Additional Evidence on Diaspora Climate Exposure 54

B Data **59**

B.1 Data Construction and Limitations 59

B.2 Constructing the Instrument 61

B.3 Examples of Variation Underlying the Instrument 62

C Model Proofs and Derivations **65**

C.1 Proof of Proposition 1: Existence and Uniqueness of Equilibrium 65

C.2 Proof of Proposition 2: Unique Steady State 65

C.3 Proof of Proposition 3: Unique Stationary Distribution 65

C.4 Persistence and Amplification with N Destinations 66

C.5 Second Order Expansion of Welfare 66

D Quantification and Computation **69**

D.1 Differences across Shared Socioeconomic Pathways 69

D.2 The Damage Process 70

D.3 Quantitative implications of estimated network elasticity 70

D.4 Comparison with Cruz & Rossi-Hansberg (2024) Quantification 71

D.5 Monte Carlo Simulation of Climate Path 72

A. Additional Tables and Figures

A.1 Additional Evidence on Flows–Stocks Relationship

This appendix provides additional evidence on the relationship between migrant stocks and subsequent migration flows documented in Section 2. We first show that the positive relationship is visible in the raw data and is similar across alternative transformations, time periods, and country income groups. We then report alternative estimates that account for the large number of zero bilateral flows.

Figure A1 provides additional evidence on the flows–stocks relationship. Figure A1a plots bilateral flow shares against lagged stock shares. One concern is that this relationship could be driven by the normalization used to construct the shares. Figure A1b therefore plots migrant flows against lagged stocks in levels and shows the same positive relationship. Another concern is that the quality and coverage of the migration data vary across countries and over time. The aggregate relationship could therefore be driven by particular parts of the sample. Figures A1c and A1d plot the relationship separately by year and by UN income group. The positive relationship is present across these subsamples, suggesting that it is not driven by a particular time period or income group.

We also show that our results are robust to including corridors with zero migration flows. Our main specification is estimated in logs using OLS so that the estimates are directly comparable to the 2SLS estimates in Table 1. A limitation of this specification is that bilateral flows are frequently zero and are therefore dropped when taking logs. As a robustness check, we estimate the relationship using Poisson pseudo–maximum likelihood (PPML), which retains zero-flow observations and allows the conditional variance of flows to vary with the covariates.

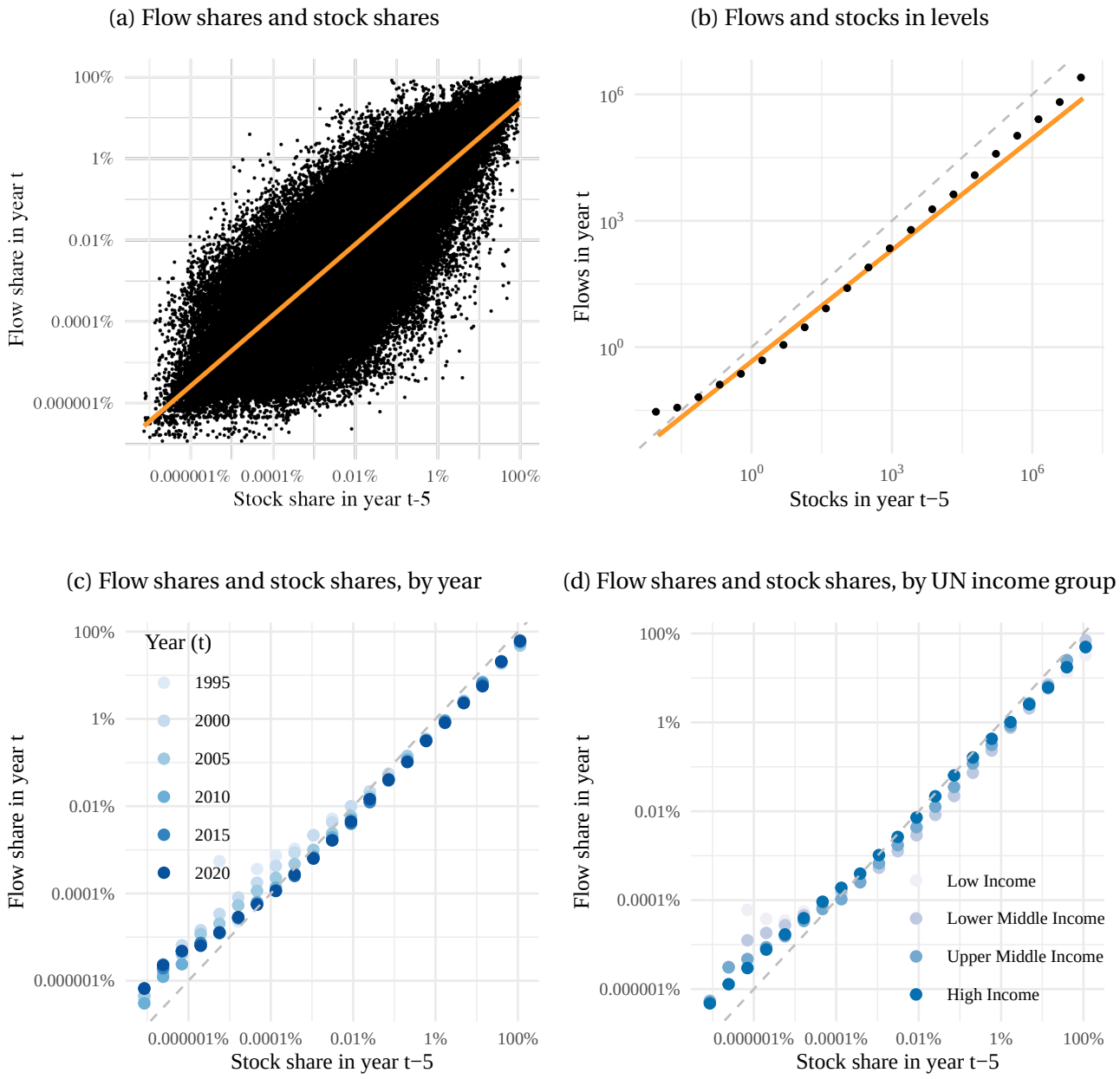
Table A1 reports the results. As in the OLS specifications, lagged migrant stocks are strongly positively associated with subsequent flows. The estimated elasticity is 0.77 without fixed effects and 0.73 with origin and destination fixed effects, compared with 0.88 and 0.83 in the corresponding OLS specifications. The coefficient falls once origin–destination fixed effects are included, again reflecting the limited within-corridor variation in migrant stocks, but remains positive and precisely estimated. Overall, the positive flows–stocks relationship is not driven by dropping corridors with zero migration flows.

A.2 Additional Evidence on Diaspora Climate Exposure

This appendix provides additional evidence on the relationship between origin-country climate exposure and the exposure of its diaspora. We first show the distributions underlying the averages reported in the main text. We then examine whether the relationship differs across time periods and country income groups, given differences in the coverage and quality of the migration data. Finally, we repeat the analysis using alternative measures of climate exposure.

Figure A2 shows the distributions behind the averages reported in Section 2. Figure A2a plots the distribution of diaspora temperature conditional on origin-country temperature. As origin

Figure A1: Migrant Flows by Migrant Stocks



Notes: Migrant stock data are from the UN Global Migration Database and migrant flows are from Abel and Cohen (2019). Panel (a) plots bilateral migrant flow shares against lagged migrant stock shares. Panel (b) plots the same relationship in levels. Panels (c) and (d) report binscatters of flow shares against lagged stock shares separately by year and by UN income group, respectively. The dashed gray line denotes the 45-degree line.

Table A1: Elasticity of Flows to Stocks, PPML Estimates

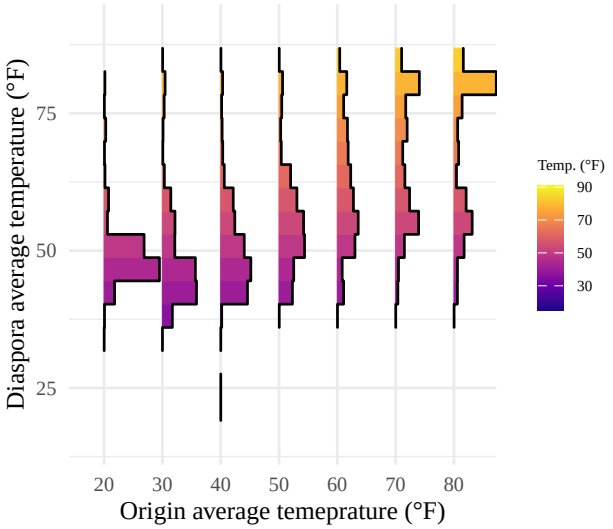
	(1)	(2)	(3)	(4)	(5)
$\log(\text{stocks}_{od,t-5})$	0.770***	0.731***	0.789***	0.211***	0.183***
	(0.014)	(0.015)	(0.011)	(0.034)	(0.027)
o, d		✓		✓	
$o \times t, d \times t$			✓		✓
$o \times d$				✓	✓

Notes: The table reports PPML estimates of the elasticity of bilateral migration flows with respect to lagged migrant stocks from 1990 to 2020. PPML is estimated in levels and includes observations with zero flows. Migrant stocks are from the UN and gross flows from Abel and Cohen (2019). Standard errors are clustered at the origin–destination pair level. * p<0.05, ** p<0.01, *** p<0.001.

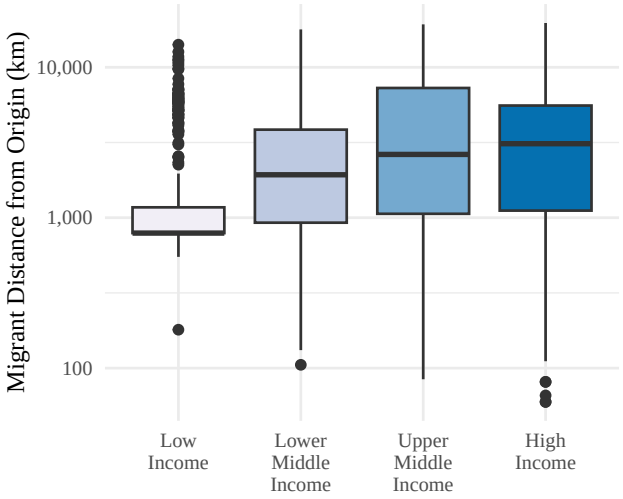
temperature rises, the distribution of diaspora temperature shifts toward higher temperatures. Figure A2b reports the distribution of migrants' distance from their origin by income group. The distribution shifts toward larger distances as origin-country income rises: migrants from low-income countries are concentrated much closer to home, while migrants from middle- and high-income countries are spread over a wider range of distances. Migrants from poorer countries are systematically closer to home across the distribution.

Figure A2: Distribution of Climate Exposure and Geography of Migrant Networks

(a) Climate exposure of origins and their diasporas



(b) Spatial concentration of migrant networks

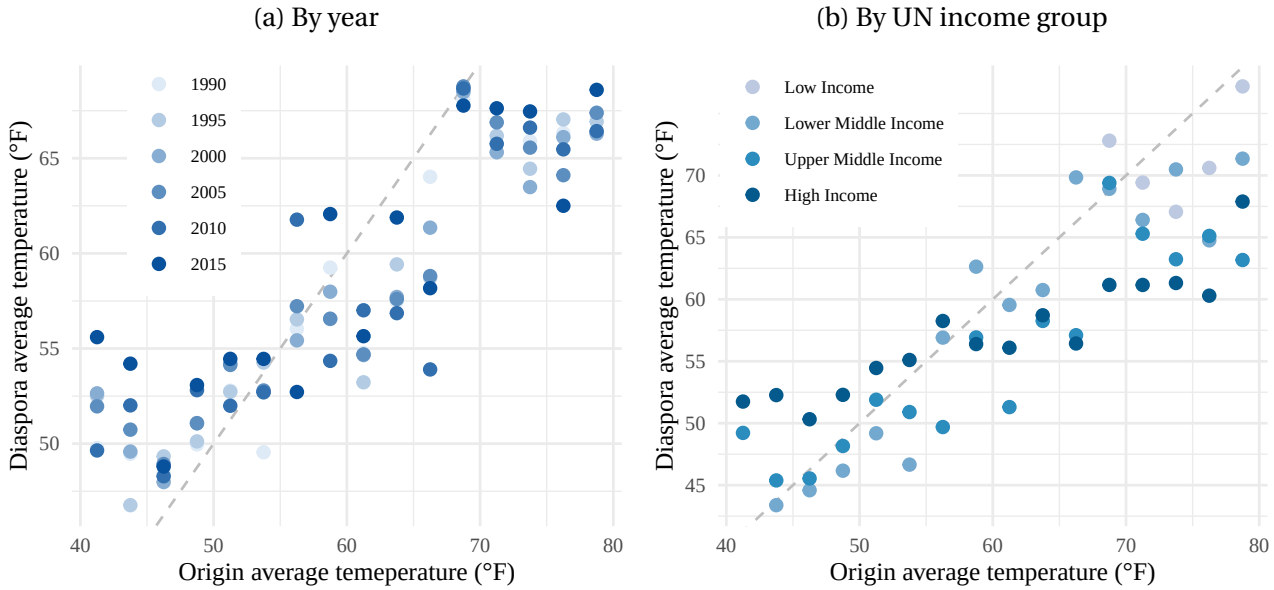


Notes: Panel (a) plots the distribution of diaspora average temperature by origin-country temperature. Origins are grouped by their average temperature, and each vertical histogram shows the distribution of diaspora temperatures for origins in that group. Diaspora temperature is the migrant-stock-weighted average temperature across an origin's destination countries. Colors indicate diaspora temperature in degrees Fahrenheit. Panel (b) plots distribution of migrants' distance from their origin by UN income group. Temperature is from BEST and bilateral distance from GeoDist (Mayer and Zignago, 2011).

The migration data vary in coverage and quality across countries and over time, raising the

possibility that the aggregate relationship is driven by particular parts of the sample. Figure A3 therefore plots the origin–diaspora exposure relationship separately by year and by UN income group. The positive relationship is present across periods and income groups.

Figure A3: Diaspora Network and Origin Country Climate Exposure

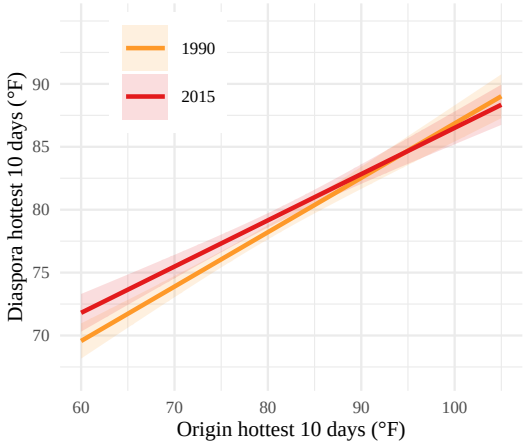


Notes: The figures show a binscatter of the relationship between diaspora exposure against origin exposure. Panel (a) plots relationship by year. Panel (b) plots the same relationship by the UN classifications of income groups. The gray dashed line is the 45-degree line.

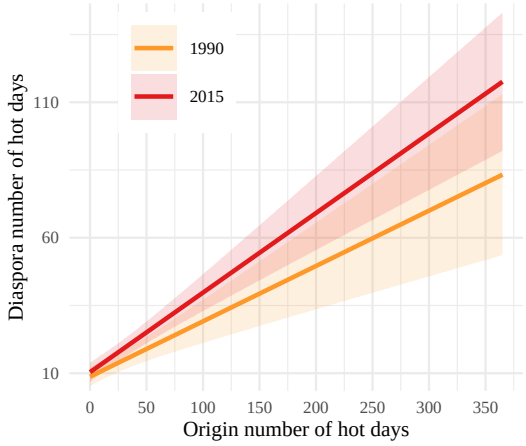
Our baseline measure of climate exposure is average temperature. Temperature is measured more consistently across space and time than many other climate variables, particularly precipitation, which varies more sharply across space and is harder to interpolate in areas with sparse station coverage (Dell et al., 2014). Figure A4 shows that the origin–diaspora relationship is not specific to average temperature. We find similar positive relationships using measures of extreme heat, coastal exposure, extreme rainfall, and natural disasters. Appendix B describes the construction and sources of these measures.

Figure A4: Origin–Diaspora Exposure Relationship Under Alternative Climate Measures

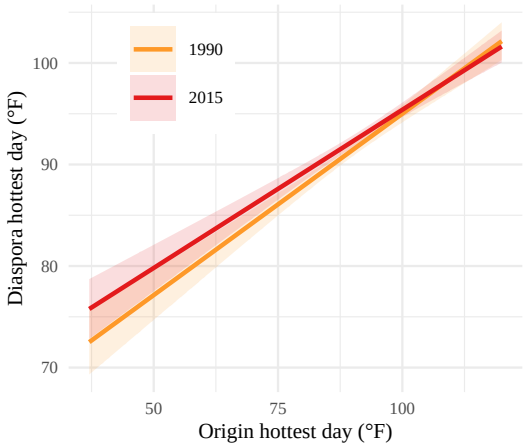
(a) Temp. of 10 Hottest Days



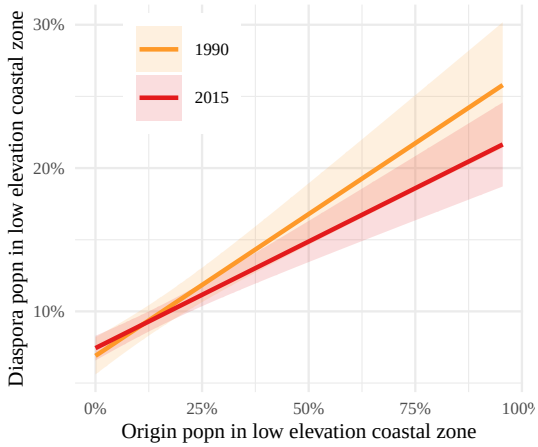
(b) Number of Hot Days



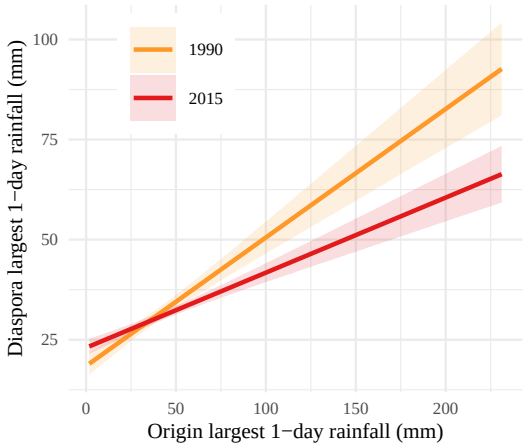
(c) Temp. of Hottest Day, ERA5



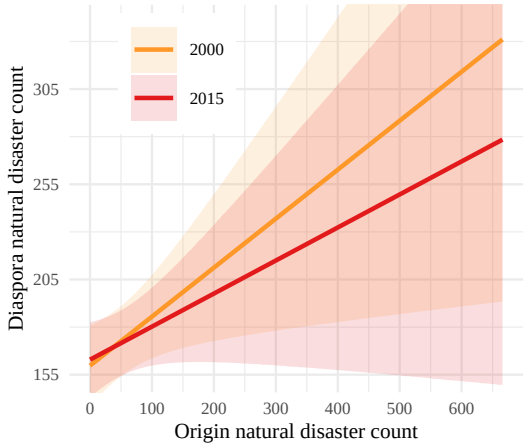
(d) Low-Elevation Coastal Population



(e) Extreme 1-Day Rainfall



(f) Natural Disaster Count



Notes: Each panel relates origin-country climate exposure to the migrant-weighted average exposure of its diaspora. Lines show OLS fitted values using the 1990 network (orange) and 2015 network (red); shaded areas are 95% confidence intervals. Migrant stocks are from the UN Global Migration Database (UNDESA, Population Division, 2021). See Appendix B for variable definitions and data sources.

B. Data

B.1 Data Construction and Limitations

Migrant stocks. The UN global bilateral migration data are constructed through a systematic harmonization of national censuses and population registers across over 200 countries and territories, spanning multiple decades. The harmonization process attempts to address inconsistencies in national data collection methods, definitions of migrants (including distinctions between foreign-born and foreign nationals), and reporting periods, thereby enabling cross-country comparisons and longitudinal analysis.

However, the data have several important limitations and sources of potential systematic measurement error. First, countries vary significantly in how they define and measure migrants for example, birthplace versus citizenship. This distinction is particularly problematic when comparing countries with and without birthright citizenship policies. For instance, a second-generation immigrant born in the United States would not be counted as a migrant under a birthplace definition, whereas the child of immigrants born in Germany (prior to recent reforms) might be counted as foreign even if they have never lived elsewhere. This implies much greater persistence over time in the stock of people from origin-o in Germany than in the United States even if actual migration patterns are similar. Such systematic differences could bias our estimates of migration persistence and network effects across destination countries.

Second, the data are typically drawn from five-year or decennial censuses, which may miss temporary migration episodes and provide limited information on the precise timing of migration. Third, undocumented migrants are systematically undercounted in official statistics, with the degree of undercount likely varying across countries based on enforcement regimes, survey methodology, and migrants' willingness to participate in census activities. Finally, data quality and availability remain particularly limited for developing countries and earlier time periods, potentially biasing our sample toward wealthier destinations and more recent decades. To address concerns about sample composition and data quality, we demonstrate that our main results are robust across different time periods and country income classifications.

Temperature data. We construct country-level temperatures from the Berkeley Earth daily land temperature product (Rohde and Hausfather, 2020), which reports daily average temperature on a one-degree grid as an anomaly relative to the 1951–1980 climatology. We recover the daily temperature of each grid cell by adding the anomaly to the climatology. We then aggregate grid cells to the country level using the `xagg` package of Schwarzwald and Geil (2024), weighting each cell by the population living in the part of the cell that falls within the country's borders. Country boundaries come from Esri's World Countries shapefile. Population weights come from the Gridded Population of the World version 3 count grid for 1990 (Center for International Earth Science Information Network (CIESIN), Columbia University et al., 2005). This gives daily population-weighted temperature series for each country from 1970 to 2019, representing the

temperature experienced by an average person in the country. From these data, we construct three measures of temperature exposure:

- *Average temperature*, our headline measure, is the mean daily temperature within a country-year.
- *Temperature of the 10 hottest days* captures extreme heat and is defined as the average temperature across the ten hottest days of each country-year.
- *Number of hot days* counts the number of days in a country-year with temperatures above 30°C.[34]

A limitation of the Berkeley Earth data is that temperatures are interpolated from weather-station records, and station coverage is sparse in parts of Sub-Saharan Africa and South Asia. Temperature estimates in these regions are therefore measured with more error. Our approach of using annual averages of the population-weighted temperature series addresses this concern by smoothing out much of the day-to-day measurement error.

Other climate variables. We show robustness to the following alternative measures of climate exposure. These measures use different data sources and capture dimensions of climate other than average temperature.

- *Temperature of hottest day, ERA5:* We use the temperature of the hottest day of the year. The data come from the ERA5 reanalysis (Hersbach et al., 2020), using country-level, area-weighted aggregates from the World Bank Climate Change Knowledge Portal. Unlike Berkeley Earth, ERA5 combines a global weather model with satellite and station observations and is therefore less dependent on local weather-station coverage. This measure captures exposure to extreme heat.
- *Low elevation coastal population:* We use the share of a country's population living in the Low Elevation Coastal Zone, defined as land at or below ten meters above sea level that is contiguous with the coast. The measure comes from Version 3 from for International Earth Science Information Network (CIESIN), which combines elevation data with gridded population counts. It provides a measure of exposure to sea-level rise and coastal flooding.
- *Extreme 1-day rainfall:* We use the largest one-day precipitation total in each year, corresponding to the Rx1day index. These data also come from ERA5 through the World Bank Climate Change Knowledge Portal and are aggregated by area. This measure captures exposure to extreme rainfall and flooding.

[34]There is an extensively documented negative relationship between extreme high temperatures and many outcomes related to welfare. Mortality risk rises non-linearly with high temperatures (Gover, 1938; Jones et al., 1982; Deschênes and Greenstone, 2011; Gasparrini et al., 2015; Barreca et al., 2016; Vicedo-Cabrera et al., 2021; Carleton et al., 2022). Agricultural yields suffer (Schlenker and Roberts, 2009), worker productivity declines (Chen and Yang, 2019), schooling and learning is disrupted (Park et al., 2020), among many other negative effects.

- *Natural disaster count:* We count the number of floods, storms, heatwaves, droughts, and wildfires recorded in each country-year by EM-DAT, the international disaster database maintained by the Centre for Research on the Epidemiology of Disasters (Delforge et al., 2025). EM-DAT includes events that kill at least ten people, affect at least one hundred people, or lead to a declaration of emergency or a call for international assistance. Unlike the other measures, this variable records realized disaster events rather than meteorological conditions. Because reporting is less complete in earlier periods and in poorer countries, we use it as a complementary measure rather than as our main measure of climate exposure.

B.2 Constructing the Instrument

We follow the construction in Burchardi et al. (2019), who motivate their instrument from a reduced-form law of motion for migrant stocks. In their framework, the stock of migrants from origin o in destination d evolves with migration flows, which depends on the interaction of origin-specific push and destination-specific pull factors, as well as the existing migrant stock. Iterating this law of motion forward expresses the migrant stock in period t as a function of the history of push–pull interactions and higher-order interactions generated by the dependence of migration on past stocks. We follow the same logic and estimate a first stage that projects $\text{stocks}_{od,t}$ on the history of leave-out push–pull interactions, principal components summarizing the higher-order terms, and the initial migrant stock. We refer the reader to Burchardi et al. (2019) for the full derivation.

Similar to Burchardi et al. (2019), we define a leave-out push factor as the total outflow from o to destinations excluding all destinations in the UN sub-region where d is located, denoted by $r(d)$:

$$\text{push}_{o,t}^{-r(d)} \equiv \sum_{d' \notin r(d)} \text{flows}_{od',t}. \tag{B1}$$

This construction ensures the push measure does not mechanically load on o–d migration. Analogously, we define a leave-out pull factor as destination d's share of inflows from origins outside of all origins in o's sub-region, $r(o)$:

$$\text{pull}_{d,t}^{-r(o)} \equiv \frac{\sum_{o' \notin r(o)} \text{flows}_{o'd,t}}{\sum_{o' \notin r(o)} \sum_{d''} \text{flows}_{o'd'',t}}. \tag{B2}$$

That is, pull is measured using migrants from other UN sub-regions, so it captures destination-year attractiveness that is not mechanically driven by flows from o. For each period $\tau \in \{1995, 2000, 2005, 2010, 2015\}$, the resulting push–pull interaction is

$$Z_{od,\tau} \equiv \text{push}_{o,\tau}^{-r(d)} \times \text{pull}_{d,\tau}^{-r(o)}. \tag{B3}$$

For our first stage for migrant stocks we use the history of push–pull interactions to instrument

for stocks in year t, $\text{stocks}_{od,t}$:

$$\log\left(\text{stocks}_{od,t}\right) = \delta_o + \delta_d + \delta_{od} + \sum_{\tau=1995}^{t} \alpha_\tau \, Z_{od,\tau} + \sum_{k=1}^{K} \lambda_k \, \text{PC}_k + u_{od,t}. \tag{B4}$$

where $u_{od,t}$ is the error term and δ_o, δ_d, and δ_{od} are the fixed effects. The interaction terms $Z_{od,\tau}$ are the leave-out push-pull terms that capture quasi-random variation in the allocation of migrants across destinations generated by the coincidence of origin-specific emigration pushes and destination-specific immigration pulls. Following Burchardi et al. (2019), we also include principal components of the higher-order interaction terms implied by the forward solution, PC_k. These terms allow past push–pull shocks to affect later migrant stocks through the evolution of the migrant network. Rather than include the full set of higher-order interactions, we summarize them using their first five principal components, which account for 96% of their variation.

Our preferred specification includes origin–destination fixed effects. Identification therefore comes from changes over time in the push–pull interactions and their higher-order terms within a corridor.

B.3 Examples of Variation Underlying the Instrument

This section provides two examples of the push–pull variation underlying the instrument. In each case, a large origin-specific push coincided with a destination-specific pull, temporarily increasing migration from the origin to the destination.

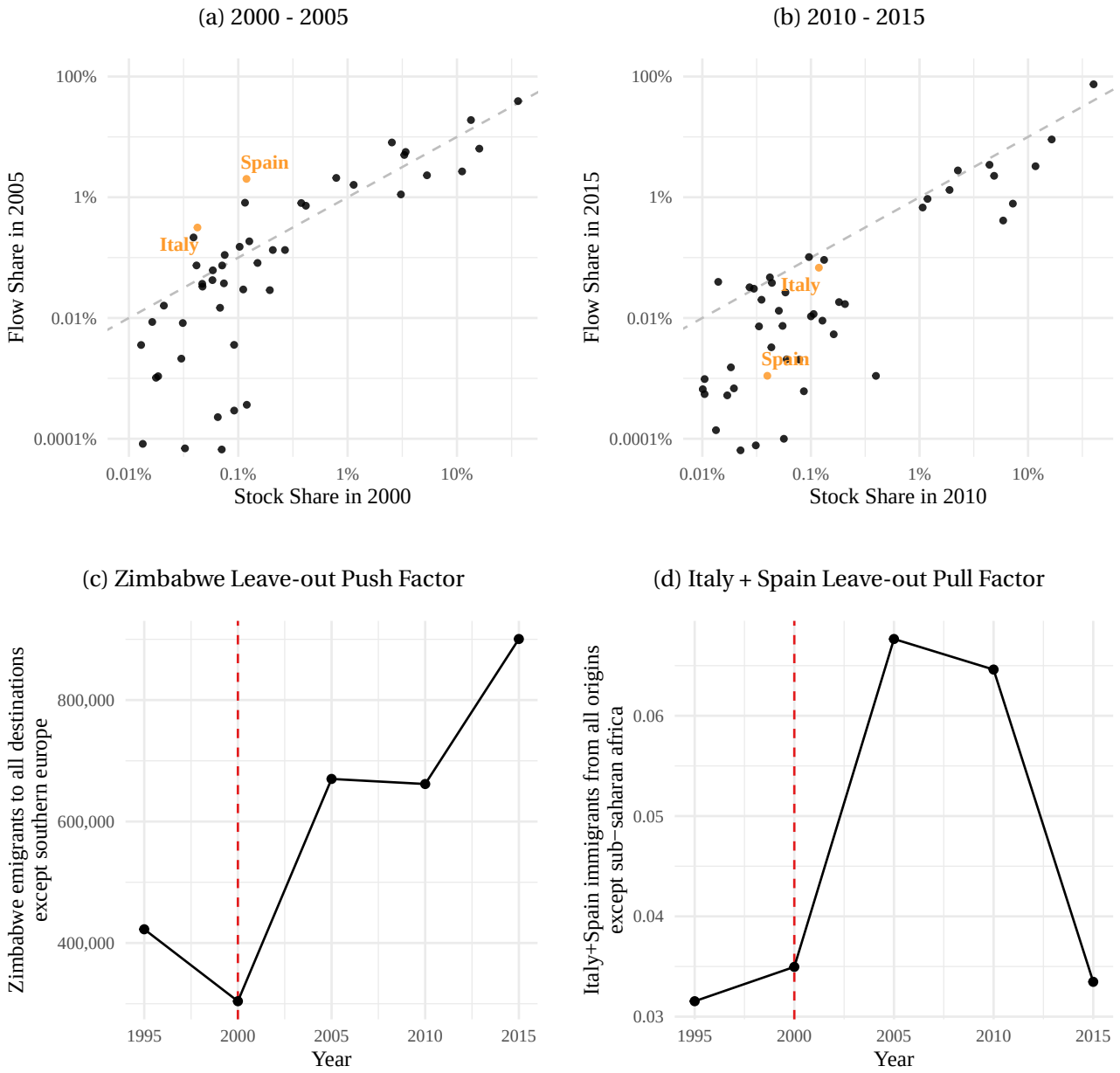
Zimbabwe and Spain + Italy Example

Zimbabwe's economy began deteriorating from 1998 to 2000, where political turmoil and economic mismanagement generated large output losses (International Monetary Fund, 2011). This generated strong push incentives for outward migration from Zimbabwe. This period also coincided with pull-side policy changes in key Southern European destinations: Spain implemented large-scale regularization programmes around 2000–2001, and Italy's 2002 framework facilitated legalization, especially for domestic and care work, raising the expected payoff to migrating to these destinations (Baldwin-Edwards and Kraler, 2009). Figure B1 shows that Spain and Italy became relatively important destinations for Zimbabwean migrants during this period, but do not stand out in later periods.

Pakistan and Turkey Example

Pakistan experienced a major push shock with the floods that began in late July 2010 and affected more than 20 million people (WHO Regional Office for the Eastern Mediterranean, 2010; International Monetary Fund, 2010). Over the same period, Turkey overhauled its migration governance by adopting a law which established a centralized framework for entry, residence,

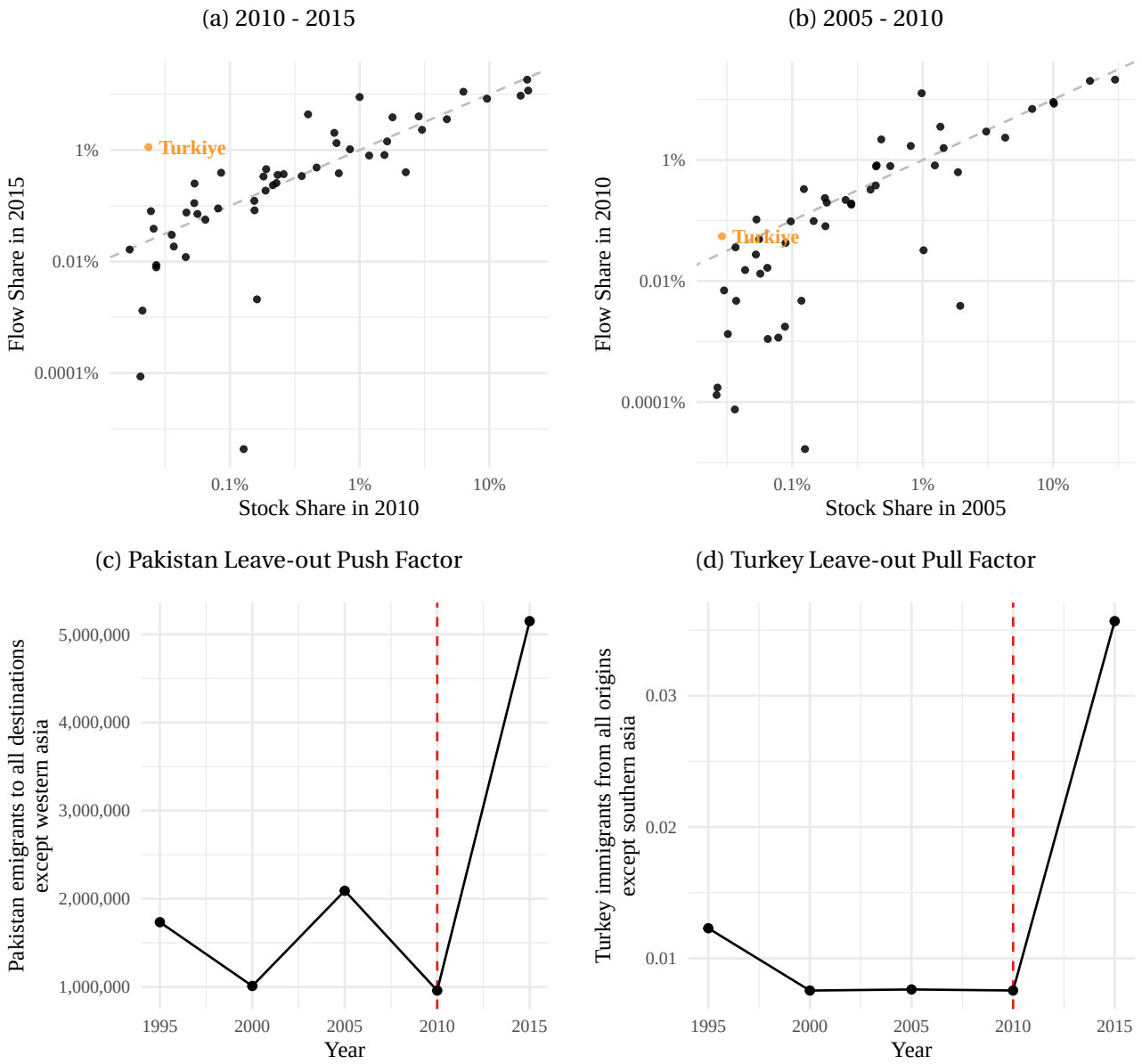
Figure B1: Zimbabwe and Italy + Spain Example



Notes: Panels (a)–(b) plot Zimbabwean flows against lagged migrant stocks across destinations, highlighting Spain and Italy. Panels (c)–(d) plot the leave-out push factor for Zimbabwe and the leave-out pull factor for Spain and Italy. Migrant stocks are from the UN Global Migration Database and flows from Abel and Cohen (2019).

and international protection. These institutional upgrades reduced administrative uncertainty and transaction costs, raising the expected payoff from selecting Turkey as a destination.[35] Figure B2 shows that Turkey became a relatively more important destination for Pakistani migrants during this period than in the preceding period.

Figure B2: Pakistan and Turkey Example



Notes: Panels (a)–(b) plot Pakistani flows against lagged migrant stocks across destinations, highlighting Turkey. Panels (c)–(d) plot the leave-out push factor for Pakistan and the leave-out pull factor for Turkey. Migrant stocks are from the UN Global Migration Database and flows from Abel and Cohen (2019).

[35] For more details, see Republic of Türkiye (2013), Presidency of Migration Management (Republic of Türkiye), and National Legislative Bodies / National Authorities (2014).

C. Model Proofs and Derivations

C.1 Proof of Proposition 1: Existence and Uniqueness of Equilibrium

We construct the equilibrium forward. Given $\mathbf{z}_{t-1}$ and the weather shock $\boldsymbol{\eta}_t$, the climate process (5) determines $\mathbf{z}_t$ and (4) determines $\mathbf{w}_t$. Given $\mathbf{w}_t$ and the inherited network $\mathbf{x}_t^o$, the choice probabilities (8) are an explicit function of both, and the law of motion (9) determines $\mathbf{x}_{t+1}^o$. Each step has one solution, so the equilibrium exists and is unique. The network enters (8) only as a predetermined argument, so nothing in the construction restricts h.

The value function (10) is well defined along this path. Flow utility is $\nu \log \sum_d \exp([\log w_t^d + h(x_t^{o,d}) - \kappa_t^{o,d}]/\nu)$, in which h is bounded, κ and g are deterministic, and $\log z_t^d$ is normal with variance bounded by the stationary variance of (5). Its expectation is therefore finite in every period, and the discounted sum converges for $\beta < 1$.

C.2 Proof of Proposition 2: Unique Steady State

A steady state exists because $\boldsymbol{\pi}^o(\cdot, \bar{\mathbf{z}}_T)$ is a continuous map from the simplex to itself.

For uniqueness, measure the distance between two networks $\mathbf{x}$ and $\mathbf{x}'$ by the range of their log ratio across destinations, $\max_d \log(x^d/x'^d) - \min_d \log(x^d/x'^d)$, which is zero only when the networks coincide. By (8), the log choice probabilities differ at destination d by $[h(x^d) - h(x'^d)]/\nu$ plus a term common to all destinations, which drops out of the range. As a function of $\log x$, h has slope $xh'(x) = \nu\varepsilon$, so $h(x^d) - h(x'^d)$ has the sign of $\log(x^d/x'^d)$ and is at most $\nu \max_x \varepsilon$ times its size. Since both networks sum to one, the log ratio is positive somewhere and negative somewhere, so the range of the utility differences is at most $\max_x \varepsilon$ times the range of the log ratio. One step of (9) therefore shrinks the distance between any two networks by the factor $\max_x \varepsilon$. When this is below one the map is a contraction, so the steady state is unique and the network converges to it from anywhere.

For instability, the Jacobian of (9) at a steady state $\mathbf{x}$ is $(\operatorname{diag}(\mathbf{x}) - \mathbf{x}\mathbf{x}^\top)\operatorname{diag}(h'(\mathbf{x})/\nu)$, a positive semidefinite matrix times a positive diagonal one. Its eigenvalues are real and non-negative, and the largest is at least the largest diagonal entry, $\max_d \varepsilon^{o,d}(1 - x^{o,d})$. If that exceeds one, a small perturbation of $\mathbf{x}$ along the corresponding eigenvector grows, and the steady state is unstable. The map takes a convex compact set into itself, so the fixed-point indices of its steady states sum to one. A steady state with one unstable direction has index -1, so another steady state exists. With k unstable directions the index is $(-1)^k$, and the argument covers every odd k.

C.3 Proof of Proposition 3: Unique Stationary Distribution

After T the state is the network and the deviation of damages from trend, $\log \mathbf{z}_t - \log \bar{\mathbf{z}}_T$. The deviation is a Gaussian AR(1) with $|\psi| < 1$, so it has a stationary distribution, and the network lives on the simplex. The state is therefore tight and its transition is continuous, so a stationary distribution exists: any limit of the time averages of the transition probabilities from a fixed starting point is one. Integrating out the deviation gives a stationary distribution of the network.

For uniqueness, take two economies with the same weather shocks but different initial states. Their deviations differ by ψ^t times the initial difference, which vanishes. Their networks are updated each period by the same map, and the argument above shows that map shrinks the distance between any two networks by $\max_x \varepsilon$ whatever the damages, since damages enter both economies identically. When $\max_x \varepsilon < 1$ the two networks converge for every sequence of shocks. The distribution of the network after many periods therefore does not depend on the initial state, so the stationary distribution is unique and the distribution of the network converges to it.

C.4 Persistence and Amplification with N Destinations

The persistence and amplification results in Section 3 perturb one corridor holding the rest of the network fixed. They extend to the full system. In log shares, the linearized law of motion is

$$\frac{\partial \log x_{t+1}^{o,d}}{\partial \log x_t^{o,k}} \;=\; \left(\mathbf{1}\{d=k\} - \pi_t^{o,k}\right) \varepsilon_t^{o,k},$$

so a corridor's own response is $\varepsilon_t^{o,d}(1-\pi_t^{o,d})$, which is approximately $\varepsilon_t^{o,d}$ at the small destination shares in the data. The contraction argument in the proof of Proposition 2 bounds the decay of any perturbation of the whole network by $\max_x \varepsilon$ per period for any level of wages, so the persistence rate and the amplification factor $1/(1-\varepsilon)$ hold for the system. Under the condition of Proposition 2 they hold at every network configuration.

C.5 Second Order Expansion of Welfare

In this appendix, we derive the expressions that decompose the role of the network in climate losses into the anchoring term and the diversification term. First, define the expected lifetime utility of an origin-o household $W^o \equiv V_0^o(\mathbf{x}_0^o, \mathbf{z}_0)$. We define $\tilde{W}^o$ as expected lifetime utility in the corresponding economy without network preferences, setting $h(x) = 0$ for all x.

Taking a second-order expansion of W^o around the expected climate path $\{\bar{\mathbf{z}}_t\}$, with period-t deviations $\log \mathbf{z}_t - \log \bar{\mathbf{z}}_t \sim (\mathbf{0}, \mathbf{\Sigma}_t)$,[36]

$$V_0^o(\mathbf{x}_0^o, \{\mathbf{z}_t\}) \;\approx\; V_0^o(\mathbf{x}_0^o, \{\bar{\mathbf{z}}_t\}) \;+\; \sum_t \beta^t \, \nabla_z v_t^o \cdot (\log \mathbf{z}_t - \log \bar{\mathbf{z}}_t) \;+\; \tfrac{1}{2} \sum_t \beta^t \, (\log \mathbf{z}_t - \log \bar{\mathbf{z}}_t)' \, \nabla_z^2 v_t^o \, (\log \mathbf{z}_t - \log \bar{\mathbf{z}}_t)$$

Because the shocks are mean zero, the first order term is zero in expectation. The second order term captures the curvature of the value in each pair of shocks times their covariance

$$\tfrac{1}{2} \sum_{i,j} \frac{\partial^2 v_t^o}{\partial \log z_t^i \, \partial \log z_t^j} \, \Sigma_t^{ij} \;=\; \tfrac{1}{2} \operatorname{tr}\left(\nabla_z^2 v_t^o \cdot \mathbf{\Sigma}_t\right)$$

[36] Because choices are static, the value function is additively separable across periods in the climate path: $V_0^o = \sum_t \beta^t \, \mathbb{E}\left[\nu \log \sum_d \exp\left(\left[\log w_t^d + h(x_t^{o,d}) - \kappa_t^{o,d}\right]/\nu\right)\right]$, up to an additive constant from the Gumbel taste shocks, with $\mathbf{z}_t$ entering through wages. The second derivative of V_0^o with respect to the climate path is therefore block-diagonal by period, so cross-period covariances of the shocks drop out of the expansion.

Therefore, we can write the second order effect as

$$W^o \;\approx\; \underbrace{V_0^o(\mathbf{x}_0^o, \{\bar{\mathbf{z}}_t\})}_{\text{trend effect}} \;+\; \underbrace{\sum_t \beta^t \,\tfrac{1}{2}\,\mathrm{tr}\big(\nabla_z^2 v_t^o \cdot \boldsymbol{\Sigma}_t\big)}_{\text{uncertainty effect} \,\equiv\, \Omega^o} \tag{C1}$$

where the first term, the trend effect, is the welfare along the expected climate path $\bar{\mathbf{z}}$, and the second order effect, defined as Ω^o, is the welfare from the climate shocks. Now, we use that with the idiosyncratic Gumbel taste shocks, direct differentiation gives

$$\frac{\partial v_t^o}{\partial \log z_t^i} \;=\; \pi_t^{o,i}, \qquad \frac{\partial^2 v_t^o}{\partial \log z_t^i \,\partial \log z_t^j} \;=\; \frac{1}{\nu}\Big(\pi_t^{o,i}\,\mathbf{1}\{i=j\} - \pi_t^{o,i}\,\pi_t^{o,j}\Big)$$

Substituting this into the uncertainty term gives

$$\Omega^o \;=\; \sum_t \beta^t\,\Omega_t^o, \qquad \Omega_t^o \;=\; \frac{1}{2\nu}\sum_{i,j}\pi_t^{o,i}\,\pi_t^{o,j}\big(\Sigma_t^{ii} - \Sigma_t^{ij}\big).$$

Ω^o captures the option value of moving under log utility and that option is larger when locations' shocks are negatively correlated.

We define the network effect on climate losses as $D^o - \tilde{D}^o = (1-\beta)\big[(W_\dagger^o - \tilde{W}_\dagger^o) - (W^o - \tilde{W}^o)\big]$ where $\dagger$ represents a no-climate-change economy. The first difference in the square bracket is the network value with no warming, and the second difference is the network value with warming. Now, before deriving how these two terms enter the network effect, let us first show that network preferences tilt choices toward large diasporas. Let $\tilde{\pi}_t^{o,d}$ be migration choices in period t when $h \equiv 0$. Then,

$$\begin{aligned}\pi_t^{o,d} &= \frac{\exp\big(\big[\log w_t^d + h(x_t^{o,d}) - \kappa_t^{o,d}\big]/\nu\big)}{\sum_k \exp\big(\big[\log w_t^k + h(x_t^{o,k}) - \kappa_t^{o,k}\big]/\nu\big)} = \frac{\exp\big(\big[\log w_t^d - \kappa_t^{o,d}\big]/\nu\big)\, e^{h(x_t^{o,d})/\nu}}{\sum_k \exp\big(\big[\log w_t^k - \kappa_t^{o,k}\big]/\nu\big)\, e^{h(x_t^{o,k})/\nu}} \\ &= \frac{\tilde{\pi}_t^{o,d}\, e^{h(x_t^{o,d})/\nu}}{\sum_k \tilde{\pi}_t^{o,k}\, e^{h(x_t^{o,k})/\nu}} \;=\; \frac{\tilde{\pi}_t^{o,d}\, e^{h(x_t^{o,d})/\nu}}{\mathbb{E}_{\tilde{\pi}}\big[e^{h(x_t^{o,k})/\nu}\big]}\end{aligned}$$

That is, h tilts migration choices toward destinations with larger diasporas. Using the second order expansion, the network effect can be written as

$$D^o - \tilde{D}^o \;\approx\; (1-\beta)\Big[\Delta V^o - \Delta\tilde{V}^o \;+\; \Delta\Omega^o - \Delta\tilde{\Omega}^o\Big] \tag{C2}$$

where V^o and $V_\dagger^o$ denote welfare along the trend paths with and without climate change, so that by separability $\Delta V^o = \sum_t \beta^t\,\Delta v_t^o$ with $\Delta v_t^o \equiv v_t^o(\bar{\mathbf{z}}_t^\dagger) - v_t^o(\bar{\mathbf{z}}_t)$, and $\Delta\Omega^o = \sum_t \beta^t\,\Delta\Omega_t^o$ with $\Delta\Omega_t^o \equiv \Omega_{\dagger,t}^o - \Omega_t^o$.

Now, we derive each term. First, let us start with the losses from the expected climate path. Recall

$\Delta \log \bar{z}_t^d \equiv \log \bar{z}_t^{\dagger,d} - \log \bar{z}_t^d$, the trend damages of destination d. Then

$$\begin{aligned}
\Delta v_t^o - \Delta \tilde{v}_t^o \;&\approx\; \sum_d \pi_t^{o,d}\, \Delta \log \bar{z}_t^d \;-\; \sum_d \tilde{\pi}_t^{o,d}\, \Delta \log \bar{z}_t^d \\
&=\; \frac{\sum_d \tilde{\pi}_t^{o,d}\, e^{h(x_t^{o,d})/\nu}\, \Delta \log \bar{z}_t^d}{\mathbb{E}_{\tilde{\pi}}\left[e^{h(x_t^{o,k})/\nu}\right]} \;-\; \mathbb{E}_{\tilde{\pi}}\left[\Delta \log \bar{z}_t^d\right] \\
&=\; \frac{\mathbb{E}_{\tilde{\pi}}\left[e^{h(x_t^{o,d})/\nu}\, \Delta \log \bar{z}_t^d\right] \;-\; \mathbb{E}_{\tilde{\pi}}\left[e^{h(x_t^{o,d})/\nu}\right] \mathbb{E}_{\tilde{\pi}}\left[\Delta \log \bar{z}_t^d\right]}{\mathbb{E}_{\tilde{\pi}}\left[e^{h(x_t^{o,k})/\nu}\right]} \\
&=\; \frac{\mathrm{Cov}_{\tilde{\pi}}\left(e^{h(x_t^{o,d})/\nu},\; \Delta \log \bar{z}_t^d\right)}{\mathbb{E}_{\tilde{\pi}}\left[e^{h(x_t^{o,k})/\nu}\right]}.
\end{aligned}$$

The first line expands each per-period value to first order in trend damages, using that $\partial v_t^o / \partial \log z_t^d = \pi_t^{o,d}$. The same $\Delta \log \bar{z}_t^d$ appears in both economies because they share wages and residence costs. The second line substitutes $\pi_t^{o,d} = \tilde{\pi}_t^{o,d}\, e^{h(x_t^{o,d})/\nu} / \mathbb{E}_{\tilde{\pi}}\left[e^{h(x_t^{o,k})/\nu}\right]$. The third line multiplies and divides the second term by $\mathbb{E}_{\tilde{\pi}}\left[e^{h(x_t^{o,k})/\nu}\right]$. The last line is the definition of covariance. Summing with discount weights gives the lifetime anchoring term,

$$\Delta V^o - \Delta \tilde{V}^o \;=\; \sum_t \beta^t\, \frac{\mathrm{Cov}_{\tilde{\pi}}\left(e^{h(x_t^{o,d})/\nu},\; \Delta \log \bar{z}_t^d\right)}{\mathbb{E}_{\tilde{\pi}}\left[e^{h(x_t^{o,k})/\nu}\right]}$$

The second order term follows similar steps. Recall $\Delta \Sigma_t^{ij} \equiv \Sigma_t^{\dagger,ij} - \Sigma_t^{ij}$, the benchmark-minus-climate-change difference in the covariance of destinations i and j's shocks. Then

$$\begin{aligned}
\Delta \Omega_t^o - \Delta \tilde{\Omega}_t^o \;&=\; \frac{1}{2\nu} \sum_{i,j} \pi_t^{o,i} \pi_t^{o,j} \left(\Delta \Sigma_t^{ii} - \Delta \Sigma_t^{ij}\right) \;-\; \frac{1}{2\nu} \sum_{i,j} \tilde{\pi}_t^{o,i} \tilde{\pi}_t^{o,j} \left(\Delta \Sigma_t^{ii} - \Delta \Sigma_t^{ij}\right) \\
&=\; \frac{1}{2\nu} \left[\frac{\sum_{i,j} \tilde{\pi}_t^{o,i} \tilde{\pi}_t^{o,j}\, e^{(h(x_t^{o,i}) + h(x_t^{o,j}))/\nu} \left(\Delta \Sigma_t^{ii} - \Delta \Sigma_t^{ij}\right)}{\mathbb{E}_{\tilde{\pi}}\left[e^{h(x_t^{o,i})/\nu}\right] \mathbb{E}_{\tilde{\pi}}\left[e^{h(x_t^{o,j})/\nu}\right]} \;-\; \mathbb{E}_{\tilde{\pi}\tilde{\pi}}\left[\Delta \Sigma_t^{ii} - \Delta \Sigma_t^{ij}\right] \right] \\
&=\; \frac{1}{2\nu}\, \frac{\mathrm{Cov}_{\tilde{\pi}\tilde{\pi}}\left(e^{(h(x_t^{o,i}) + h(x_t^{o,j}))/\nu},\; \Delta \Sigma_t^{ii} - \Delta \Sigma_t^{ij}\right)}{\mathbb{E}_{\tilde{\pi}}\left[e^{h(x_t^{o,i})/\nu}\right] \mathbb{E}_{\tilde{\pi}}\left[e^{h(x_t^{o,j})/\nu}\right]}.
\end{aligned}$$

The first line uses that Ω_t^o is linear in the covariance matrix given the weights, so the difference across climate scenarios replaces Σ_t with $\Delta \Sigma_t$. The second line substitutes $\pi_t^{o,i} \pi_t^{o,j} = \tilde{\pi}_t^{o,i} \tilde{\pi}_t^{o,j}\, e^{(h(x_t^{o,i}) + h(x_t^{o,j}))/\nu} / \mathbb{E}_{\tilde{\pi}}\left[e^{h(x_t^{o,i})/\nu}\right] \mathbb{E}_{\tilde{\pi}}\left[e^{h(x_t^{o,j})/\nu}\right]$. The last line multiplies and divides the second term by $\mathbb{E}_{\tilde{\pi}}\left[e^{h(x_t^{o,i})/\nu}\right] \mathbb{E}_{\tilde{\pi}}\left[e^{h(x_t^{o,j})/\nu}\right]$, and applies the definition of covariance. Summing with discount

weights gives the lifetime diversification term,

$$\Delta\Omega^o - \Delta\tilde{\Omega}^o \;=\; \sum_t \beta^t \, \frac{1}{2\nu} \, \frac{\mathrm{Cov}_{\tilde{\pi}\tilde{\pi}}\left(e^{(h(x_t^{o,i})+h(x_t^{o,j}))/\nu},\; \Delta\Sigma_t^{ii} - \Delta\Sigma_t^{ij}\right)}{\mathbb{E}_{\tilde{\pi}}\left[e^{h(x_t^{o,i})/\nu}\right] \mathbb{E}_{\tilde{\pi}}\left[e^{h(x_t^{o,j})/\nu}\right]}$$

These expressions are to build intuition. In the quantitative exercises, we solve each economy fully and allow migration choices and the migrant network to respond endogenously to climate change.

D. Quantification and Computation

D.1 Differences across Shared Socioeconomic Pathways

The growth paths g_t^ℓ used in the quantification come from the Shared Socioeconomic Pathways (SSPs), which are five scenarios for global development over the century (Riahi et al., 2017; Dellink et al., 2017). We use SSP3 as our baseline. Migration incentives in the model depend on cross-country wage differences, and SSP3 preserves large wage gaps over the century. The 90/10 income ratio remains above 9 in 2095, compared with 3.3 under SSP5, so a fast-convergence scenario would substantially reduce migration incentives even in the absence of climate change. SSP3 is also consistent with the high-warming environment used in the quantitative exercises.[37] SSP4 generates similar cross-country income dispersion but substantially lower emissions, making it less consistent with the warming path we study.

Table D1: Growth and Convergence Across the SSPs

	SSP1	SSP2	SSP3	SSP4	SSP5
Growth in GDP per capita, 2020–2095, % per year					
poorest third	3.6	3.2	1.7	2.2	4.3
middle third	2.5	2.3	1.2	2.2	3.1
richest third	1.4	1.3	0.5	1.3	2.0
Dispersion of GDP per capita in 2095					
sd of log GDP per capita	0.51	0.60	0.87	0.97	0.48
90/10 ratio	3.6	4.6	9.4	11.7	3.3

Notes: GDP per capita projections across the five Shared Socioeconomic Pathways. Growth rates are annualized over 2020–2095. Thirds are defined by GDP per capita in 2020, and countries are weighted equally. The 90/10 ratio is the ratio of the 90th to the 10th percentile of GDP per capita across countries in 2095.

[37] In the SSP scenario matrix, SSP5 is the only baseline pathway that reaches radiative forcing of 8.5 W/m^2, while SSP3 reaches approximately 7.0 W/m^2. We follow the climate-impacts literature in pairing weak development with a high-warming path.

D.2 The Damage Process

This appendix details how we construct the trend damages (**??**) and the damage shocks entering (13) from the annual estimates of Nath et al. (2024). They estimate the response of GDP per capita to an annual temperature shock, with a marginal damage linear in the country's temperature, $d'_a(q) = \hat{\beta}_0 + \hat{\beta}_1 q$, and they find that the damage persists, decaying at an annual rate of 0.92. Our model runs at five-year periods and separates permanent warming from transitory weather, so their annual response enters the trend and the shock with different multipliers.

Trend damages. Warming is permanent, so each degree of the trend generates an accumulated effect. We scale the annual response by the ratio of the cumulative response to the annual response in Nath et al. (2024), 5.05 at their ten-year horizon, so the marginal damage from permanent warming is $d'(q) = 5.05 \times d'_a(q)$. We then integrate this marginal damage along the expected temperature path,

$$\log \bar{z}_t^\ell \;=\; 5.05 \int_{\bar{q}_0^\ell}^{\bar{q}_t^\ell} \left(\hat{\beta}_0 + \hat{\beta}_1 q\right) dq,$$

We compute the integral in 0.1°C increments, evaluating marginal damages at each step along the temperature path. Since marginal damages are linear in temperature, this is equivalent to using the closed-form integral up to a negligible discretization error. Integrating along the path matters because the implied damage function is quadratic, so the damage from an additional degree depends on the temperature level at which it occurs.

Shock damages. The weather shock η_t^ℓ is the deviation of five-year average temperature from its expected path. If this shock persists for the full five-year period, it affects output in each year. Because the effect of each year's temperature shock decays at the annual rate 0.92, the total damage remaining at the end of the period is

$$\sum_{j=0}^{4} 0.92^j \;=\; \frac{1 - 0.92^5}{1 - 0.92} \;=\; 4.26$$

times the annual response. The marginal damage entering (13) is therefore $4.26 \times d'_a(\bar{q}_t^\ell)$. Any damage that carries into the next five-year period persists at rate $\psi = 0.92^5 = 0.66$, as in (5). Thus, both the accumulation of damages within a period and their persistence across periods are implied by the same annual persistence estimate.

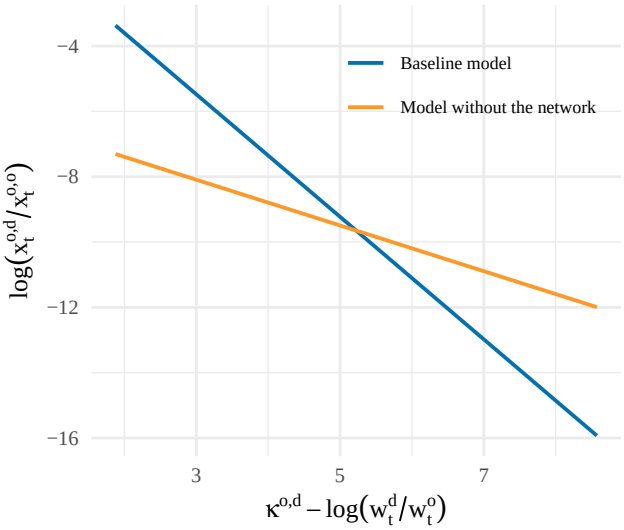
D.3 Quantitative implications of estimated network elasticity

We estimate a migrant network elasticity of $\theta_1/\nu = 0.73$. An elasticity below one means that a shock to a migration corridor fades over time. Consider a migration corridor whose migrant stock is one percent above its steady state, the size its wages and residence cost support. The larger diaspora community draws more migrants in the next period, but only enough to keep the corridor θ_1/ν

percent above its steady state, and the period after that $(\theta_1/\nu)^2$ percent. Given our estimate, the half-life of a shock to the network is 11 years, and 28 percent of a one percent shock remains after twenty years. For the same reason, no corridor is in the region of Proposition 2, where the elasticity exceeds one and more than one long-run migrant network distribution exists.

Although a one-time shock to the network fades over time, the network is a source of amplification. A permanent change in a corridor's wages or residence cost moves its migrant stock nearly four times as much as it would in a model without the network. Figure D1(b) plots the long-run size of a migration corridor against its residence cost net of the wage gap, $\kappa_t^{o,d} - \log(w_t^d/w_t^o)$, the corridor's fundamentals. In the model without the network the slope is $-1/\nu$, the direct response of the corridor's migrant stock to its cost. In the baseline model with the network effect the slope is instead $-1/(\nu - \theta_1)$. A permanent bad shock to a corridor's fundamentals shrinks its migrant stock directly, and the smaller diaspora community then draws fewer migrants in every subsequent period. The migrant stock declines each period by θ_1/ν of its decline in the prior period, so the long-run impact is $1/(1-\theta_1/\nu) = 3.7$ times the direct decline.

Figure D1: Amplification from the Network Elasticity



Notes: The figure plots the model's long-run relationship between the size of a corridor, $\log(x_t^{o,d}/x_t^{o,o})$, and its residence cost net of the wage gap, $\kappa^{o,d} - \log(w_t^d/w_t^o)$, through the mean of the 6,585 corridors open in 2015. The blue line has slope $-1/(\nu - \theta_1)$ and the orange line, the model with the network held fixed, slope $-1/\nu$.

D.4 Comparison with Cruz & Rossi-Hansberg (2024) Quantification

Cruz and Rossi-Hansberg (2024) is the closest quantitative model of migration and climate change. This appendix summarizes the main differences between the two quantifications.

The first difference is how migration costs are modeled. In Cruz and Rossi-Hansberg (2024), the cost of living away from home is the product of an origin and a destination component, $m_o \times m_d$,

and is fixed over time. In our model, the effective cost of moving from o to d is

$$\kappa_t^{o,d} - \left[h(x_t^{o,d}) - h(x_t^{o,o})\right].$$

The first term is a residence cost, while the second depends on the size of the migrant community at the destination relative to the community left at the origin. Effective migration costs therefore change endogenously as migrant stocks evolve. Panel (a) of Figure D2 illustrates this for migration from Pakistan to Canada. In Cruz and Rossi-Hansberg (2024), the effective cost is constant over time. In our model, it falls as the Pakistani community in Canada grows.

The second difference is the path of income in the absence of climate change. In Cruz and Rossi-Hansberg (2024), growth is endogenous. Innovation is concentrated in more productive locations and diffuses across space, generating convergence over time. Their model also starts from greater spatial income dispersion, in part because the economy is defined over $1^\circ \times 1^\circ$ grid cells and therefore captures within-country inequality. In our model, growth follows the SSP3 path, under which cross-country income differences remain large. Panel (b) of Figure D2 compares the 90/10 ratio of income per capita under the two baselines. Since migration incentives depend on wage differences across locations, the two growth paths imply different incentives to migrate later in the century.

There are several other differences between the two frameworks. First, Cruz and Rossi-Hansberg (2024) model the world at the $1^\circ \times 1^\circ$ grid-cell level, while we model 161 countries. Their framework therefore allows substantial adjustment through within-country migration, whereas our model focuses on international migration, where migrant networks, borders, and migration policy are directly relevant. Second, their climate path is deterministic, while our model includes weather shocks through $\mathbf{\Sigma}_t$. This additional uncertainty generates an option value of migration and the diversification channel studied in Section 5. Finally, the migration elasticities differ. Their elasticity of migration with respect to income is 2, compared with 0.7 in our calibration based on Ortega and Peri (2013), so migration responds more strongly to a given wage difference in their model.

D.5 Monte Carlo Simulation of Climate Path

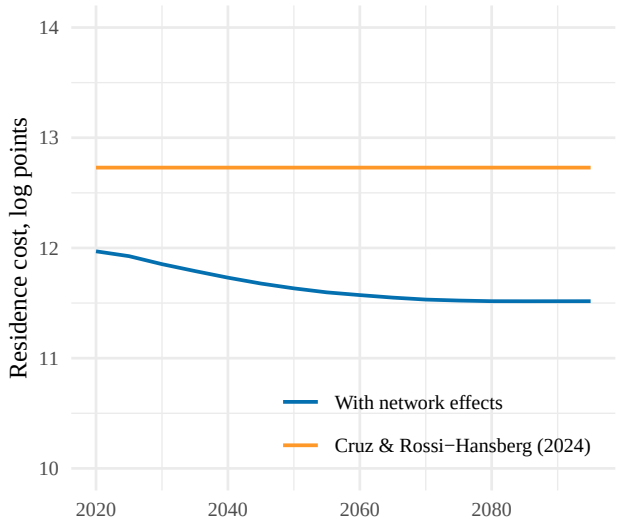
The welfare objects in Section 5 are expectations of lifetime welfare over realized climate paths in four economies. We compute these expectations by Monte Carlo. A simple Monte Carlo simulation generates first-order variation around the expected climate path that may dominate the second-order effect of climate risk that we want to measure. The diversification channel is a second-order object,

$$\Omega^o = \mathbb{E}[W^o(\mathbf{z})] - W^o(\bar{\mathbf{z}}) \approx \tfrac{1}{2}\operatorname{tr}\left(\nabla^2 W^o \mathbf{\Sigma}\right).$$

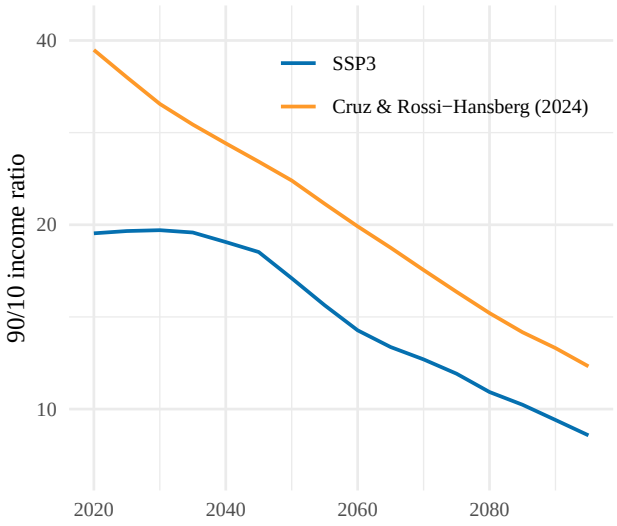
The first-order term, $\nabla W^o \cdot (\mathbf{z} - \bar{\mathbf{z}})$, has expectation zero and therefore does not enter Ω^o. However, it enters every simulated path. With S draws, its sample mean is of order $\frac{|\nabla W^o||\mathbf{z}-\bar{\mathbf{z}}|}{\sqrt{S}}$. The diversification channel, by contrast, is second order in the climate deviations and is therefore of order $|\mathbf{z} - \bar{\mathbf{z}}|^2$. A standard Monte Carlo simulation must therefore average away first-order variation

Figure D2: Comparison with Cruz and Rossi-Hansberg (2024)

(a) Effective cost, Pakistan to Canada



(b) Income convergence absent climate change



Notes: Panel (a) plots the effective cost of the Pakistan–Canada corridor over the century. Panel (b) plots the 90/10 ratio of income per capita in the baseline without climate change.

in order to recover a second-order object. Since the first-order sampling error declines only at rate $1/\sqrt{S}$, this requires a very large number of simulations.

Our simulation procedure is designed to remove this first-order variation rather than average it away. We address this in two ways. First, we use the same climate draws across all counterfactual economies, which reduces noise when we take welfare differences. Second, we pair each climate path with its mirror image, so that the first-order variation cancels within the pair.

Step 1: Hold the random draws fixed across economies. We factor each covariance matrix as $\mathbf{\Sigma}_t = \mathbf{L}_t\mathbf{L}_t^\top$. For each simulation path $s = 1, \ldots, S$ and period t, we draw a vector of independent standard normal shocks $\boldsymbol{\eta}_{s,t}$ using a fixed seed.[38] We use the same draws in all four economies. This means that when we compare welfare across economies, each economy faces the same underlying realization of climate risk. Using common draws therefore reduces sampling error in the welfare differences that define the network effect. It does not eliminate the first-order term, however, because the response of welfare to a given climate realization differs across economies.

Step 2: Construct comparable climate and no-climate paths. Under climate change, innovations $\boldsymbol{\zeta}_{s,t} = \mathbf{L}_t\boldsymbol{\eta}_{s,t}$ feed into the climate process around the projected trend $\bar{\mathbf{z}}_t$, with the economy starting on the trend in the base year. The no-climate-change benchmark uses the same $\boldsymbol{\eta}_{s,t}$, but holds the climate trend and covariance matrix at their base-year values. The two scenarios therefore differ

[38] Each $\mathbf{\Sigma}_t$ is estimated from one hundred ensemble runs. A small number of eigenvalues are slightly negative because of sampling error, so we construct the factorization from the eigendecomposition after setting negative eigenvalues to zero.

only in the evolution of the climate process. We also verify that realized productivity remains strictly positive along every simulated path.

Step 3: Remove the first-order component using antithetic paths. For every draw $\boldsymbol{\eta}_{s,t}$, we also simulate the antithetic draw $-\boldsymbol{\eta}_{s,t}$. Because the innovations are symmetrically distributed, the two draws have the same distribution, so averaging welfare across the pair does not change expected welfare. Around the deterministic climate path, however, the first-order term enters with opposite signs and cancels exactly. All other odd-order terms cancel as well. The pair average therefore retains the second-order term, along with higher even-order terms, while removing the main source of simulation noise. This allows us to estimate the diversification channel with $S = 10{,}000$ antithetic pairs rather than the orders of magnitude more draws required by a plain Monte Carlo simulation.

Step 4: Solve the four economies on each climate path. For every draw and its mirror, we solve the model forward in four cases: with and without the effect of the migrant network on migration decisions, and with and without climate change. With $S = 10{,}000$ antithetic pairs, this gives $2 \times 2 \times 2S = 80{,}000$ simulated economy-paths. The no-network economy sets $h \equiv 0$ and leaves all other parameters, including residence costs, unchanged. Along each path, we construct log wages from the trend and realized climate damages, compute migration probabilities using the inherited migrant network, update the migrant network, and calculate lifetime welfare.

Expected welfare and the average network effect are computed by first averaging within antithetic pairs and then across pairs. These welfare levels give D^o and $\tilde{D}^o$, and hence the network effect $D^o - \tilde{D}^o$.

For the tail results, we keep the original and antithetic draws as separate climate realizations rather than averaging them within pairs. Quantiles are therefore calculated from the distribution of realized losses across the $2S$ climate paths, with the same realization used across counterfactual economies.

Finally, we solve each economy once along the deterministic climate trend, setting $\boldsymbol{\zeta} = \mathbf{0}$. This gives the anchoring component directly. We define the remaining part of the simulated network effect as the diversification component. The resulting numerical decomposition is exact by construction, while the analytical decomposition in the text gives its second-order approximation.